

COVER SHEET

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S.E.C. Registration Number

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(Company's Full Name)

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[illegible][illegible]

KRISTEL AZUCENA

Officer – Corporate Planning and Investor Relations

Contact Person

(632) 8631-3333 /

(632) 8638-6888

Company Telephone Number

1	2
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Month

3	1
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Day

Fiscal Year

SEC Form 17-Q

FORM TYPE

4TH Friday of June

Month Day

Annual Meeting

Secondary License Type, If Applicable

M	S	R	D
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	Dept.	Requiring	this Doc.

Amended Articles Number/Section

Total Amount of Borrowings

110

As of 10/31/2025

Total No. of Stockholders

*No. of Shareholders Owning at Least 1 Board Lot

Based on latest Report on the Number of Shareholders.

To be accomplished by SEC Personnel concerned

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File Number

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SECURITIES AND EXCHANGE COMMISSION

**SEC FORM 17-Q
PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1. Date of Report (Date of earliest event reported): September 30, 2025
2. SEC Identification Number: A-1997-18963
3. BIR Tax Identification No. 005-011-651-000
4. Exact name of issuer as specified in its charter: ASIA UNITED BANK CORPORATION
5. Province, country or other jurisdiction of incorporation: Pasig City, Philippines
6. Industry Classification Code: (SEC Use Only)
7. Address of principal office/ Postal Code: Joy-NostalqCenter No. 17 ADB
Avenue, Ortigas Center, Pasig City
1600
8. Issuer's telephone number, including area code: (632) 8631-3333 / (632) 8638-6888
9. Former name or former address, if changed since last report: Not Applicable
10. Securities registered pursuant to Sections 8 & 12 of the SRC or Sections 4 and 8 of the RSA:

Title of Each Class	<u>Common Stock</u>
Number of Shares Outstanding	<u>1,455,931,590</u>
11. Are any or all of these securities listed on a Stock Exchange?

Yes [X] No [] Not Applicable []

If yes, please state the name of such stock exchange and the classes of securities listed therein:

Philippine Stock Exchange / Common Stock
12. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve(12) months (or for such shorter period that the registrant was required to file such reports);

Yes [X]

No []

Not Applicable []

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [X]

No []

Not Applicable []

SEC 17-Q

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PART I - FINANCIAL INFORMATION

Item 1. Financial Statements

The following interim consolidated financial statements of Asia United Bank Corporation and Subsidiaries (the Group) have been prepared in accordance with Philippine Accounting Standards (PAS) 34, Interim Financial Reporting:

- Statements of condition as at September 30, 2025 (Unaudited), December 31, 2024 (Audited), and September 30, 2024 (Unaudited);
- Statements of income for the period ended and quarter ended September 30, 2025 and September 30, 2024;
- Statements of comprehensive income for the period ended and quarter ended September 30, 2025 and September 30, 2024;
- Statements of changes in equity as at September 30, 2025 (Unaudited), December 31, 2024 (Audited), and September 30, 2024 (Unaudited), and:
- Statements of cash flows for the Nine-Month period ended September 30, 2025 (unaudited) and September 30, 2024 (unaudited).

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES CONSOLIDATED STATEMENTS OF CONDITION (1 of 2)

In Php Thousands	September 30, 2025	Dec 31, 2024	September 30, 2024
ASSETS			
Cash and Other Cash Items	3,419,680	4,584,834	3,188,876
Due from Bangko Sentral ng Pilipinas	24,095,525	36,703,924	26,586,082
Due from Other Banks	4,291,267	5,888,307	4,423,725
Interbank Loans Receivable and Securities Purchased Under Resale Agreements	3,841,890	3,651,283	4,156,097
Financial Assets at Fair Value Through Profit or Loss	9,590,303	5,052,259	7,060,478
Investment Securities at Fair Value Through Other Comprehensive Income	105,695,813	75,980,123	98,787,381
Investment Securities at Amortized Cost	1,130,482	1,151,023	1,138,081
Loans and Receivables	256,913,966	245,152,913	198,885,488
Property and Equipment	2,248,299	2,188,777	2,085,874
Investment Properties	957,583	981,913	957,462
Deferred Tax Assets	500,094	489,119	402,078
Goodwill	1,949,737	1,949,737	1,949,737
Intangible Assets	1,936,703	1,910,575	1,919,062
Other Assets	573,530	363,788	470,955
TOTAL ASSETS	417,144,871	386,048,575	352,011,377

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CONDITION (2 of 2)

In Php Thousands	September 30, 2025	Dec 31, 2024	September 30, 2024
LIABILITIES AND EQUITY	(Unaudited)	(Audited)	(Unaudited)
Liabilities			
Deposit Liabilities			
Demand	210,699,782	166,613,253	160,228,916
Savings	100,558,457	116,651,406	96,784,655
Time	24,977,775	29,973,397	24,985,752
	336,236,014	313,238,055	281,999,323
Bills Payable	2,066,224	1,945,067	1,609,081
Manager's Checks	1,663,696	791,447	1,179,559
Income Tax Payable	304,819	316,330	255,239
Accrued Taxes, Interest and Other Expenses	1,604,916	1,821,086	1,725,366
Other Liabilities	9,562,092	9,590,239	8,608,440
Total Liabilities	351,437,760	327,702,224	295,377,008
Equity			
Equity Attributable to Equity Holders of the Parent Company			
Capital stock	14,559,316	7,279,658	7,279,658
APIC	6,622,819	6,622,819	6,622,819
Surplus reserves	1,552,520	1,494,114	1,227,837
Surplus	43,735,218	44,641,987	42,148,173
Net unrealized gain (loss) on investment securities at fair value through other comprehensive income	(1,024,294)	(1,988,460)	(884,698)
Cumulative translation adjustment	128,038	96,732	46,722
	65,573,617	58,146,850	56,440,511
NCI	133,494	199,501	193,858
Total Equity	65,707,111	58,346,352	56,634,369
TOTAL LIABILITIES AND EQUITY	417,144,871	386,048,575	352,011,377

See accompanying Notes to Interim Consolidated Financial Statements

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME

In Php Thousands	For the period ended		Quarter Ended	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024
INTEREST INCOME	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Loans and receivables	13,889,474	11,029,991	4,755,906	3,821,189
Trading and investment securities	3,789,119	4,325,588	1,436,254	1,352,008
Interbank loans receivable and securities purchased under resale agreements	133,056	108,348	41,283	30,102
Deposit with banks and others	221,806	349,511	63,085	92,400
	18,033,456	15,813,438	6,296,528	5,295,699
INTEREST EXPENSE				
Deposit liabilities	4,369,105	3,241,364	1,529,156	1,018,963
Bills payable and other borrowings	158,240	119,934	54,897	40,930
	4,527,346	3,361,299	1,584,053	1,059,894
NET INTEREST INCOME	13,506,110	12,452,139	4,712,475	4,235,805
Trading and securities gain - net	1,374,096	1,139,376	696,462	692,039
Service charges, fees and commissions	1,307,525	1,106,112	380,841	370,083
Foreign exchange gain (loss) - net	521,253	486,141	86,455	219,400
Trust income	143,782	117,022	47,175	45,382
Miscellaneous	333,794	282,008	79,272	97,650
OTHER OPERATING INCOME	3,680,450	3,130,659	1,290,206	1,424,554
TOTAL OPERATING INCOME	17,186,560	15,582,799	6,002,681	5,660,359

	For the period ended		Quarter Ended	
In Php Thousands	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Compensation and fringe benefits	1,715,077	1,626,038	582,361	547,600
Provision for credit and impairment losses	199,250	82,749	16,984	4,759
Depreciation and amortization	631,859	580,986	219,250	197,996
Taxes and licenses	1,123,914	967,751	402,713	320,854
Rent	59,022	66,886	18,610	26,892
Insurance	549,163	483,973	188,690	161,458
Security, messengerial and janitorial	144,746	129,714	50,117	43,834
Freight expenses	71,157	69,674	18,991	24,261
Transportation and travel	102,441	90,254	35,965	31,258
Power, light and water	59,827	56,672	20,899	19,754
Postage, telephone, cables and telegrams	127,699	139,002	42,231	46,791
Management and other professional fees	38,526	31,268	11,138	8,953
Repairs and maintenance	207,085	171,506	72,980	62,963
Amortization of intangibles	29,826	35,314	10,586	10,409
Miscellaneous	677,217	581,344	260,333	202,797
TOTAL OPERATING EXPENSES	5,736,809	5,113,131	1,951,849	1,710,577
INCOME BEFORE SHARE IN NET INCOME OF SUBSIDIARIES	11,449,751	10,469,668	4,050,832	3,949,782
Share in Net Income of Subsidiaries				
INCOME BEFORE INCOME TAX	11,449,751	10,469,668	4,050,832	3,949,782
PROVISION FOR (BENEFIT FROM) INCOME TAX	2,081,787	1,894,337	810,943	604,115
NET INCOME	9,367,963	8,575,331	3,239,889	3,345,667

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

In Php Thousands	Nine-Month Period Ended		Quarter Ended	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024
NET INCOME	9,367,963	8,575,331	3,239,889	3,345,667
OTHER COMPREHENSIVE INCOME				
Changes in net unrealized gain (loss) on investment securities at fair value through other comprehensive income	964,869	917,215	439,796	1,778,400
Cumulative translation adjustments	31,306	(31,976)	56,104	(44,506)
Other comprehensive loss not to be reclassified in profit or loss in subsequent periods				
Loss on remeasurement of retirement obligation-net of income tax				
	996,174	885,239	495,900	1,733,894
TOTAL COMPREHENSIVE INCOME	10,364,138	9,460,569	3,735,789	5,079,561
Attributable to:				
Equity holders of the Parent Company	10,338,630	9,449,137	3,731,392	5,076,239
Minority interest	25,508	11,432	4,397	3,322
	10,364,138	9,460,569	3,735,789	5,079,561

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE QUARTER ENDED SEPTEMBER 30, 2025
Equity Attributable to Equity holders of the Group

In Php Thousands	Capital Stock	Additional Paid in Capital	Surplus Reserve	Surplus	Measure ment of Retirement obligation	Cumulative Translation Adjustment	Net Unrealized Gain (Loss) on FVTOCI	Total	Non-Controlling Interest	Total Equity
Balance at December 31, 2024 (audited, as previously reported)	7,279,658	6,622,819	1,494,115	44,641,985		96,732	(1,988,460)	58,146,850	199,500	58,346,352
Net income for the period				9,343,158				9,343,158	24,805	9,367,963
Other comprehensive income (loss) for the period						31,306	964,166	995,472	703	996,175
Total comprehensive income				9,343,158		31,306	964,166	10,338,630	25,508	10,364,138
Transfer to surplus reserves			58,405	(58,405)						
Stock dividends declaration	7,279,658			(7,279,658)						
Dividends distribution				(2,911,863)				(2,911,863)	(91,515)	(3,003,378)
Balance at September 30, 2025	14,559,316	6,622,819	1,552,520	43,735,217		128,038	(1,024,294)	65,573,617	133,493	65,707,111
Balance at December 31, 2023 (audited, as previously reported)	7,279,658	6,622,819	873,153	35,634,594		78,698	(1,801,388)	48,687,534	182,426	48,869,960
Net income for the period				8,564,423				8,564,423	10,908	8,575,331
Other comprehensive income (loss) for the period						(31,976)	916,690	884,714	524	885,239
Total comprehensive income				4,122,156		1,756	733,003	9,449,137	11,432	9,460,569
Transfer to surplus reserves			354,684	(354,684)						
Cash dividends				(1,696,160)				(1,696,160)		(1,696,160)
Balance at September 30, 2024	7,279,658	6,622,819	1,227,837	37,705,905		80,454	(1,068,385)	56,440,511	193,858	56,634,369

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (1 of 2)

In Php Thousands	Consolidated	Consolidated
	For the Period Ended September 30, 2025 (Unaudited)	For the Period Ended September 30, 2024 (Unaudited)
NET CHANGE		
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	11,449,751	10,469,667
Adjustments for:		
Provision for impairment and credit losses	199,250	82,749
Trading gains from sale of financial assets at FVOCI	(331,176)	(305,135)
(Gain)/Loss on sale of amortized cost securities	-	-
Depreciation and Amortization	631,859	580,986
Interest expense on lease liabilities	70,357	59,536
Gain on foreclosure of investment properties	(27,332)	85,047
(Gain)/loss on sale of property and equipment	(4,869)	(5,958)
Amortization of intangibles	29,826	35,314
Investment properties write-off	-	
Gain on sale of investment properties and chattels	(15,068)	(41,296)
Amortization of transaction costs of subordinated debts and bonds payable	-	-
Amortization of Discount - Financial assets at amortized cost	1,874	855
Unrealized Foreign exchange (gain)/Loss	28,604	(4,910)
Dividend Income	-	(240)
Change in Operating Assets and Liabilities		
Decrease (increase) in the amounts of:		
Financial Assets at FVTPL	(4,533,782)	1,297,042
Loans and Receivables	(11,963,335)	(4,720,127)
Interbank loans and receivables	(919)	168,964
Other assets	(281,939)	(117,042)
Increase (decrease) in the amounts of:		
Deposit Liabilities	22,795,041	(9,992,124)
Manager's checks	872,248	33,065
Accrued taxes, interest and other expenses	(216,170)	(402,433)
Other liabilities	(100,124)	320,358
Cash Generated from (used in) Operations	18,604,096	(2,455,682)
Cash Paid for Income Taxes	(2,099,015)	(1,771,460)
Dividends Received	-	240
Net Cash provided by (Used In) Operating Activities	16,505,081	(4,226,902)

ASIA UNITED BANK CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (2 of 2)

In Php Thousands	Consolidated	Consolidated
	For the Period Ended September 30, 2025 (Unaudited)	For the Period Ended September 30, 2024 (Unaudited)
NET CHANGE		
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of:		
Investment securities at fair value through other comprehensive income	(245,443,472)	(162,102,774)
Investment securities at amortized cost	-	0
Property and equipment	(387,084)	(687,909)
Software costs	(55,953)	(9,350)
Proceeds from sale/maturities of:		
Investment securities at fair value through other comprehensive income	217,192,323	163,025,008
Investment securities at amortized cost	21,274	1,441,543
Investment properties and chattels	85,407	116,032
Property and equipment	5,939	55,539
Software	-	-
Net cash provided by (used in) investing activities	(28,581,566)	1,838,089
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of bills payable	(1,350,000)	(1,129,900)
Proceeds from bills payable	1,470,000	500,000
Proceeds from bonds payable	-	0
Payments of Bonds Payable	-	-
Payments of principal portion of lease liabilities	(343,968)	(361,618)
Payment of cash dividends to shareholders	(2,911,863)	(1,696,160)
Actuarial Gain	-	-
Net cash provided by financing activities	(3,135,831)	(2,687,678)
EFFECT OF FOREIGN CURRENCY TRANSLATION ADJUSTMENT	31,306	(31,976)
NET INCREASE IN CASH AND CASH EQUIVALENTS	(15,181,010)	(5,108,468)

See accompanying Notes to Interim Consolidated Financial Statements.

NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS

General Information

Asia United Bank Corporation (the Parent Company) was granted authority as a commercial bank under the Monetary Board (MB) Resolution No. 1149 dated September 3, 1997 and commenced operations on October 31, 1997. The Revised Corporation Code of the Philippines or Republic Act (RA) 11232, granted perpetual existence to corporations incorporated in the Philippines. RA 11232 was signed into law on February 20, 2019.

The Parent Company is a domestic corporation registered with the Securities and Exchange Commission (SEC) on October 3, 1997. The Parent Company provides commercial banking services such as deposit products, loans and trade finance, domestic and foreign fund transfers, treasury, foreign exchange and trust services. In addition, the Parent Company is licensed to enter into regular financial derivatives as a means of reducing and managing the Parent Company's and its customers' foreign exchange exposure.

On February 28, 2013, the MB approved the Parent Company's application for a universal banking license, which authorizes the Parent Company, in addition to its general powers as a commercial bank, to exercise the following: (i) the power of an investment house, including securities underwriting and trading, loan syndication, financial advisory, private placement of debt and equity securities, project finance and direct equity investment; and (ii) the power to invest in allied and non- allied enterprises, subject to regulatory caps on the amount of investment relative to the Parent Company's capital and ownership percentage.

The Parent Company's common shares were listed at the main board of the Philippine Stock Exchange (PSE) on May 17, 2013.

The Parent Company's principal place of business is located at Joy-Nostalg Center, #17 ADB Avenue, Ortigas Center, Pasig City. The Parent Company operates through its 226 and 224 domestic branches as at December 31, 2024 and 2023, respectively.

Material Accounting Policy Information

Basis of Preparation

The accompanying financial statements have been prepared on a historical cost basis except for financial assets at fair value through profit or loss (FVTPL) and investment securities at fair value through other comprehensive income (FVOCI) that have been measured at fair value and for Asia United Fleet Management Services, Inc. (AUFMSI), one of the subsidiaries, which basis of accounting was changed from the going concern basis to the liquidation basis. Under this basis of accounting, assets are presented at their estimated net realizable values and liabilities, including cost of liquidation, are stated at their estimated settlement amounts. The financial statements are presented in Philippine peso (P=), and all values are rounded to the nearest thousand except when otherwise indicated.

The accompanying financial statements of the Parent Company reflect the accounts maintained in the Regular Banking Unit (RBU) and Foreign Currency Deposit Unit (FCDU). The books of accounts of the RBU are maintained in Philippine peso, the RBU's functional currency, while those of the FCDU are maintained in United States dollars (USD), the FCDU's functional currency. For financial reporting purposes, FCDU accounts and foreign currency denominated accounts in the RBU are translated into their equivalents in Philippine peso (see policy on the Foreign Currency Translation). The financial statements individually prepared for these units are combined after eliminating inter-unit accounts.

Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency. The functional currency of the subsidiaries is the Philippine peso.

Statement of Compliance

The financial statements of the Group and of the Parent Company have been prepared in compliance with Philippines Financial Reporting Standards (PFRS) Accounting Standards.

Presentation of Financial Statements

The Group and the Parent Company present their statement of condition broadly in the order of liquidity. An analysis regarding recovery or settlement within 12 months after the statement of condition date (current) and more than 12 months after the statement of condition date (non-current) is presented in Note 22.

The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties. Income and expense are not offset in the statement of income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Group and of the Parent Company. This is not generally the case with master-netting agreements, where the related assets and liabilities are presented gross in the statement of financial position.

Basis of Consolidation

The Group's consolidated financial statements include the financial statements of the Parent Company and the following subsidiaries

		Country of	Effective
Subsidiary	Principal Activities	Incorporati on	Percentage of Ownership
Cavite United Rural Bank (CURB)	Rural banking	Philippines	100.00%
Rural Bank of Angeles (RBA)	Rural banking	- do -	99.54%
Asia United Leasing and Finance Corporation (AULFC)	Leasing and financing business	- do -	39.00%
Asia United Fleet Management Services, Inc. (AUFMSI)*	Operating lease business	- do -	39.00%

**A wholly owned subsidiary of AULFC. In 2021, the BOD of AUFMSI approved the dissolution of AUFMSI by shortening its corporate term until December 31, 2023.*

The Group controls the investee if and only if the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The financial policies and operations of AULFC are controlled by the Parent Company by virtue of the irrevocable voting trust agreement that has the effect of transferring the voting rights of the individual shareholders of the subsidiaries to the Parent Company.

The Group reassesses whether or not it has control over an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the statements of condition and statements of income from the date the Group gains control until the date the Group ceases to control the subsidiary.

The financial statements of the subsidiaries are prepared on the same reporting period as the Parent Company using consistent accounting policies. Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All significant intra-group balances, transactions, income and expenses and profits and losses resulting from intra-group transactions are eliminated in full in the consolidation.

A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, the Group:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary
- Derecognizes the carrying amount of any non-controlling interest
- Derecognizes the cumulative translation differences recorded in equity
- Recognizes the fair value of the consideration received
- Recognizes the fair value of any investment retained
- Recognizes any surplus or deficit in profit or loss
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or surplus, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities

Non-controlling Interests

Non-controlling interest represents the portion of profit or loss and net assets not owned, directly or indirectly, by the Parent Company.

Non-controlling interests are presented separately in the consolidated statements of income, consolidated statement of comprehensive income, and within equity in the consolidated statements of condition, separately from Parent Company's shareholders' equity. Any losses applicable to the non-controlling interests are allocated against the interests of the non-controlling interest even if this results in the non-controlling interest having a deficit balance. Acquisitions of non-controlling interests that do not result in a loss of control are accounted for as equity transactions, whereby any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received shall be recognized directly in equity and attributed to the owners of the Parent Company.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
The amendments clarify:
 - That only covenants with which an entity must comply on or before reporting date will

- affect a liability's classification as current or non-current.
 - That classification is unaffected by the likelihood that an entity will exercise its deferral right.
 - That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendments to PFRS 16, Lease *Liability in a Sale and Leaseback*
The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.
- Amendments to PAS 7 and PFRS 7, Disclosures: *Supplier Finance Arrangements*
The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Summary of Material Accounting Policies

Foreign Currency Translation

The financial statements are presented in Philippine peso, which is the Group and Parent Company's functional currency. The books of accounts of the RBU and its subsidiaries are maintained in Philippine peso, while those of the FCDU is maintained in US dollar.

RBU

As at reporting date, foreign currency monetary assets and liabilities of the RBU are translated to Philippine peso based on the Banker's Association of the Philippines (BAP) closing rate prevailing at end of the year, and foreign currency-denominated income and expenses, at the exchange rates as at the date of the transaction. Foreign exchange differences arising from translations of foreign currency-denominated assets and liabilities in the RBU are credited to or charged against profit or loss in the year in which the rates change. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

FCDU

As at the reporting date, the assets and liabilities of the FCDU is translated to the Parent Company's presentation currency (the Philippine peso) at BAP closing rate prevailing at the statement of condition date, and its income and expenses are translated at BAP weighted average rate for the year. Exchange differences arising on translation to the presentation currency are taken to the statement of comprehensive income under 'Cumulative translation adjustment.' Upon disposal of the FCDU, the deferred cumulative amount recognized in the statement of comprehensive income is recognized in the statements of income.

Fair Value Measurement

The Group measures financial instruments such as financial assets at FVTPL, investment securities at FVOCI and derivative financial instruments at fair value at each reporting date. Also, fair value of financial assets and liabilities carried at amortized cost and investment properties are disclosed in Note 5.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. If an asset or a liability measured at fair value has a bid price and an ask price, the price within the bid-ask spread that is most representative of fair value in the circumstances shall be used to measure fair value regardless of where the input is categorized within the fair value hierarchy. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

For assets and liabilities not listed in an active market, the Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1- quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date
- Level 2 – inputs other than quoted prices included within Level 1 that are observable either directly or indirectly
- Level 3 – inputs are unobservable inputs for the asset or liability

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period. The Group determines the policies and procedures for both recurring fair value measurement such as financial assets and liabilities at FVTPL and for non-recurring measurement, such as investment properties.

External appraisers are involved for valuation of significant assets, such as investment properties. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Financial Instruments-Initial Recognition and Subsequent Measurement

Date of recognition

The Group recognizes financial instruments when, and only when, the Group becomes a party to the contractual terms of the financial instruments. Regular way purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace, are recognized on settlement date - the date that an asset is delivered to by the Group.

Securities transactions are also recognized on settlement date basis. Deposits, amounts due to or from banks and customers and loans are recognized when cash is received by the Group or advanced to the borrowers.

'Day1' difference

Where the transaction price is different from the fair value or from other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day1' difference) in the statements of income in unless it qualifies for recognition as some other type of asset or liability. In cases where use is made of data which is not observable, the difference between the transaction price and model value is

only recognized in the statements of income when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1' difference amount.

Initial recognition of financial instruments

Financial instruments are initially measured at their fair value; except in the case of financial assets and financial liabilities recorded at FVTPL, transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Group accounts for the Day 1 profit or loss, as described above.

Classification and subsequent measurement

Financial assets are classified in their entirety based on the contractual cash flows characteristics of the financial assets and the Group's business model for managing financial assets. The Group classifies its financial assets into the following categories: financial assets at FVTPL, investment securities at FVOCI and at amortized cost (AC). The Group classifies and measures its derivative and trading portfolio at FVTPL. The Group may designate financial instruments at FVTPL, if doing so eliminates or significantly reduces measurement or recognition inconsistencies.

Contractual cash flows characteristics

If the financial asset is held within a business model whose objective is to hold assets to collect contractual cash flows or within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, the Group assesses whether the cash flows from the financial asset represent solely payments of principal and interest (SPPI) on the principal amount outstanding.

'Principal' for the purpose of the SPPI test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (e.g. if there are repayments of principal or amortization of the premium or discount). In making the assessment of 'interest', the Group determines whether the contractual cash flows are consistent with a basic lending arrangement, i.e., interest includes consideration only for the time value of money, credit risk and other basic lending risks and costs associated with holding the financial asset for a particular period of time.

Instruments with cash flows that do not represent as such are classified as at FVTPL.

Business model

The Group's business model is determined at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group's business model does not depend on management's intentions for an individual instrument, rather it refers to how it manages its financial assets in order to generate cash flows.

The Group's business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both. Relevant factors considered by the Group in determining the business model for a group of financial assets include:

- how the performance of the business model and the financial assets held within that business model are evaluated and reported to the Group's key management personnel;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how these risks are managed;
- how managers of the business are compensated; and
- the expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Group's measurement categories are described below:

Investment securities at amortized cost

A debt financial asset is measured at amortized cost if (i) it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and (ii) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. These financial assets are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the effective interest rate (EIR) method, less any impairment in value.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are integral part of the EIR. The amortization is included in 'Interest Income' in the profit or loss and is calculated by applying the EIR to the gross carrying amount of the financial asset, except for (i) purchased or originated credit-impaired financial assets and (ii) financial assets that have subsequently become credit-impaired, where, in both cases, the EIR is applied to the amortized cost of the financial asset. Losses arising from impairment are recognized in 'Provision for credit and impairment losses' in profit or loss.

The Group's financial assets at amortized costs comprised of Due from BSP, Due from other banks, Interbank Loans Receivable (IBLR), Securities Purchased Under Repurchase Agreements (SPURA), Investment securities at amortized cost, Loans and receivables and certain financial assets under 'Other assets'.

Investment securities at FVOCI

(a) Debt financial assets

A debt financial asset is measured at FVOCI if (i) it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and (ii) its contractual terms give rise on the specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. These financial assets are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at fair value. Gains and losses arising from changes in fair value are included in other comprehensive income within a separate component of equity. Interest income and foreign exchange gains and losses are recognized in profit and loss until the financial asset is derecognized. Impairment losses or reversals are based on expected credit losses (ECL) and recognized in 'Provision for credit and impairment losses' in profit or loss, with corresponding credit to other comprehensive income. Upon derecognition, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss under 'Trading and securities gain (loss) – net.'

(b) Equity instruments

The Group may also make an irrevocable election to measure at FVOCI on initial recognition with investments in equity instruments that are neither held for trading nor contingent consideration recognized in a business combination in accordance with PFRS 9, Financial instruments. Amounts recognized in OCI are not subsequently transferred to profit or loss. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents recovery of part of the cost of the investment.

Dividends are recognized in profit or loss only when:

- the Group's right to receive payment of the dividend is established
- it is probable that the economic benefits associated with the dividend will flow to the Group; and
- the amount of the dividend can be measured reliably.

Financial assets FVTPL

Financial assets are measured at FVTPL unless these are measured at amortized cost or at FVOCI. Included in this classification are equity and debt investments held for trading and debt instruments with contractual terms that do not represent SPPI.

A financial asset is considered as held for trading if:

- it has been acquired principally for the purpose of selling it in the near term;
- on initial recognition, it is part of a portfolio of identified financial instruments that the Group manages together and has evidence of a recent actual pattern of short-term profit-taking; or,
- it is a derivative that is not designated as a hedging instrument or financial guarantee.

Financial assets held at FVTPL are initially recognized at fair value, with transaction costs recognized in the statement of income as incurred. Subsequently, they are measured at fair value and any gains or losses are recognized under 'Trading and securities gain (loss) - net' in profit or loss.

Additionally, even if the asset meets the amortized cost or the FVOCI criteria, the Group may choose at initial recognition to designate the financial asset at FVTPL if doing so eliminates or significantly reduces a measurement or recognition inconsistency (an accounting mismatch) that would otherwise arise from measuring financial assets on a different basis.

Interest earned on these investments is measured using the modified effective interest rate method, where premiums and discounts, excluding origination fees and transaction costs are considered in the effective interest rate, and is reported under 'Interest income' in profit or loss while dividend income is reported under 'Miscellaneous income' in profit or loss when the right of payment has been established.

Furthermore, the Group is a counterparty to derivative contracts, such as currency forwards and swaps and warrants. These derivatives are entered into as a service to customers and as a means of reducing or managing their respective foreign exchange and interest rate exposures, as well as for trading purposes. Such derivative financial instruments are initially recorded at fair value on the date at which the derivative contract is entered into and are subsequently remeasured at fair value.

Any gains or losses arising from changes in fair values of derivatives (except those accounted for as accounting hedges) are taken directly to the profit or loss and are included in 'Trading and securities gain (loss) - net' for warrants, and in 'Foreign exchange gain (loss) - net' for currency forwards and swaps. Derivatives are carried as assets when the fair value is positive and as liabilities when the fair value is negative.

Classification of financial liabilities

Financial liabilities are measured at amortized cost, except for the following:

- financial liabilities measured at fair value through profit or loss;
- financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition or when the Bank retains continuing involvement;
- financial guarantee contracts;
- commitments to provide a loan at a below-market interest rate; and
- contingent consideration recognized by an acquirer in accordance with PFRS 13, *Business Combinations*.

Financial liabilities measured at amortized costs

Issued financial instruments or their components, which are not designated at FVTPL, are classified as liabilities under 'Deposit liabilities', 'Bills payable and Securities Sold Under Repurchase Agreement (SSURA)', 'Subordinated debt', 'Bonds payable', or other appropriate financial liability accounts, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash.

After initial measurement, other financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the EIR.

Financial guarantees, letters of credit and undrawn loan commitments

The Group issues financial guarantees, letters of credit and loan commitments.

Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognized less cumulative amortization recognized in the statement of income and an ECL provision.

The premium received is recognized in the statement of income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Group is required to provide a loan with pre-specified terms to the customer.

Similar to financial guarantee contracts, these contracts are in the scope of the ECL requirements.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded on in the statement of condition.

Reclassifications of financial instruments

The Group reclassifies its financial assets when, and only when, there is a change in the business model for managing the financial assets. Reclassifications shall be applied prospectively by the Group and any previously recognized gains, losses or interest shall not be restated.

Impairment of Financial Assets

PFRS 9 requires the Group to record ECL for all loans and other debt financial assets not classified as at FVTPL, together with loan commitments and financial guarantee contracts.

Expected credit loss methodology

ECL represent credit losses that reflect an unbiased and probability-weighted amount which is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information about past events, current conditions and forecasts of future economic conditions. ECL allowances will be measured at amounts equal to either (i) 12-month ECL or (ii) lifetime ECL. The 12-month ECL is the portion of lifetime ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Lifetime ECL are credit losses that results from all possible default events over the expected life of a financial instrument and are computed for those financial instruments which have experienced a significant increase in credit risk (SICR) since initial recognition and for those financial assets which have indications of objective evidence of impairment.

Assessment of Significant Increase in Credit Risk/Staging assessment

For non-credit-impaired financial instruments:

- Stage 1 is comprised of all non-impaired financial instruments which have not experienced a SICR since initial recognition. The Group recognizes a 12-month ECL for Stage 1 financial instruments.
- Stage 2 is comprised of all non-impaired financial instruments which have experienced a SICR since initial recognition. The Group recognizes a lifetime ECL for Stage 2 financial instruments.

For credit-impaired financial instruments:

- Financial instruments are classified as Stage 3 when there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition with a negative impact on the estimated future cash flows of a loan or a portfolio of loans. These include those classified as non-performing loans and restructured accounts. The ECL model requires that lifetime ECL be recognized for these impaired financial assets.

Definition of “default”

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit impaired, in all cases when the borrower becomes over 90 days past due on its contractual payments. As a part of a qualitative assessment of whether a customer is in default, the Group also considers a variety of instances that may indicate objective evidence of impairment, which include but not limited to, financial difficulty of the borrowers and significant problems in the operations of the counterparties. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted. An instrument is considered to be no longer in default (i.e., to have cured) when it no longer meets any of the default criteria and has exhibited a satisfactory track record, i.e. consistent no missed payments for a consecutive period of six (6) months for non- restructured accounts and twelve (12) months for restructured accounts.

Credit risk at initial recognition

The Group uses internal borrower rating assessment and approvals at various levels to determine the credit risk of exposures at initial recognition.

Significant increase in credit risk

The criteria for determining whether credit risk has increased significantly vary by portfolio and include quantitative changes in probability of default (PD), and qualitative factors, including downgrade in risk ratings and a backstop based on delinquency. The credit risk of a particular exposure is deemed to have increased significantly since initial recognition if, based on the Group's risk rating process, the borrowers' risk rating deteriorated by certain notches or the PD increased relatively by certain percentage as of the reporting date. For exposures without internal credit risk rating, the credit risk is deemed to have increased significantly, if based on aging information, the borrower becomes past due on the contractual payments for over a certain number of days. In subsequent reporting periods, if the credit risk of the financial instrument improves such that there is no longer a SICR since initial recognition, the Group shall revert to recognizing a 12-month ECL.

Restructuring

In certain circumstances, the Group modifies the original terms and conditions of a credit exposure to form a new loan agreement or payment schedule. The modifications can be given depending on the borrower's or counterparty's current or expected financial difficulty. The modifications may include, but are not limited to, change in interest rate and terms, principal amount, maturity date, date and amount of periodic payments and accrual of interest and charges. Restructured impaired accounts are purchased or originated credit impaired accounts where lifetime ECL is provided.

ECL calculation

ECL is a function of the PD, loss given default (LGD) and exposure at default (EAD), with the timing of the loss also considered, and is estimated by incorporating forward-looking economic information and through the use of experienced credit judgment.

The PD represents the likelihood that a credit exposure will be in default either in the next 12 months for Stage 1 or during its lifetime for Stage 2. The PD for each individual financial asset is modelled based on historic data and is estimated based on current market conditions and reasonable and supportable information about future economic conditions. The Group segmented its credit exposures based on homogenous risk characteristics (i.e. loan product basis) and developed a corresponding PD methodology for each portfolio. The PD methodology for each relevant portfolio is determined based on the underlying nature or characteristic of the portfolio, behavior of the accounts and materiality of the segment as compared to the total portfolio.

EAD is modelled on historic data and represents an estimate of the outstanding amount of credit exposure at the time a default may occur. For off-balance sheet and undrawn amounts, EAD includes an estimate of any further amounts to be drawn at the time of default. LGD is the amount that may not be recovered in the event of default and is modelled based on historical cash flow recovery and reasonable and supportable information about future economic conditions, where appropriate. LGD takes into consideration the amount and quality of any collateral held.

The Group incorporates overlays in its measurement of ECL. These overlays are based on broad range of macro-economic variables, which based on management's expert credit judgment and available and supportable information, reflect the reasonable expectation of future credit losses..

Collateral valuation

To mitigate its credit risks on financial assets, the Group seeks to use collateral, where possible. The collateral comes in various forms, such as cash, real estates, other non-financial assets and credit enhancements such as netting agreements. Collateral, unless repossessed, is not recorded on the Group's statement of condition.

Write-offs

Financial assets are written off either partially or in their entirety only when the Group has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to 'Provision for credit and impairment losses' in the profit or loss.

Derecognition of financial assets and liabilities

(a) Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired; or
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement; or
- the Group has transferred its rights to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained the risk and rewards of the asset but has transferred the control of the asset.

Where the Group has transferred its rights to receive cash flows from an asset or has entered into a "pass-through" arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of original carrying amount of the asset and the maximum amount of consideration that the Group could be required to pay.

(b) Financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

Modification of financial assets

The Group derecognizes a financial asset when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new asset, with the difference between its carrying amount and the fair value of the new asset recognized as a derecognition gain or loss in profit or loss, to the extent that an impairment less has not already been recorded.

The Group also performed a quantitative assessment similar to that being performed for modification of financial liabilities. In performing the quantitative assessment, the Group considered the new terms of a financial asset to be substantially different if the present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% difference from the present value of the remaining cash flows of the original financial asset.

When the contractual cash flows of a financial asset are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the Group recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows discounted at the original EIR (or credit-adjusted EIR for purchased or originated credit-impaired financial assets) and recognizes a modification gain or loss in the statement of income.

When the modification of a financial asset results in the derecognition of the existing financial asset and the subsequent recognition of a new financial asset, the modified asset is considered a 'new' financial asset. Accordingly, the date of the modification shall be treated as the date of initial recognition of that financial asset when applying the impairment requirements to the modified financial asset. The newly recognized financial asset is classified as Stage 1 for ECL measurement purposes, unless the new financial asset is deemed to be originated as credit impaired (POCI).

Repurchase and reverse repurchase agreements

Securities sold under repurchase agreements (SSURA) at a specified future date ('repos') are not derecognized from the statement of condition as the Group retains substantially all of the risks and rewards of ownership. The corresponding cash received is recognized in the statement of condition as an asset with a corresponding obligation to return it, including accrued interest as a liability, reflecting the transaction's economic substance as a loan to the Group.

Conversely, securities purchased under agreements to resell at a specified future date ('reverse repos') are not recognized in the statement of condition. The corresponding cash paid, including accrued interest, is recognized in the statement of condition as SPURA, and is considered a loan to the counterparty. The difference between the purchase price and resale price is treated as interest income and is accrued over the life of the agreement using the effective interest method.

Offsetting of financial instruments

Financial assets and liabilities are offset and the resulting net amount, considered as a single financial asset or financial liability, is reported in the statements of condition when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously. The right of set-off must be available at the end of the reporting period, that is, it is not contingent on future event. It must also be enforceable in the normal course of business, in the event of default, and in the event of insolvency or bankruptcy; and must be legally enforceable for both entity and all counterparties to the financial instruments.

Cash and Cash Equivalents

For purposes of reporting cash flows, cash and cash equivalents include cash and other cash items, amounts due from BSP and other banks, and IBLR and SPURA with maturities of three months or less from original dates of placements and that are subject to insignificant risk of changes in value.

Revenue Recognition

Revenue from contracts with customers (scoped in under PFRS 15) is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

The following specific recognition criteria must also be met before revenue is recognized:

(a) Revenues within the scope of PFRS 9

Interest income on investment securities at amortized cost and FVOCI

For all investment securities measured at amortized cost and FVOCI, interest income is based on EIR. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options), includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

Once the recorded value of a financial asset or group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognized using the original EIR used to discount future cash flows. Interest income on Stage 1 and 2 accounts are recognized based on their gross carrying amounts while interest income on Stage 3 accounts are recognized on their net carrying amounts.

Interest income on financial assets at FVTPL

Interest income on all trading assets and financial assets mandatorily required to be measured at FVTPL is recognized using the modified EIR method which considers amortization of premium and discount and is included under "Interest income on financial assets at FVTPL".

Trading and securities gain (loss) - net

This results from trading activities including all gains and losses from changes in fair value of financial assets and financial liabilities at FVTPL and gains and losses from the disposal of financial assets at fair value through other comprehensive income. Cost of investment securities sold is determined using the specific identification method.

Gain or loss from disposals of investment securities at amortized costs are presented separately in the profit or loss.

Recoveries from charged-off loan accounts

Recoveries are recognized upon collection of previously written-off accounts. Recoveries are presented under "Miscellaneous income".

(b) Revenues within the scope of PFRS 15

The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract. When the Group provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time.

The Group has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

Fees and commissions

The Group earns fee and commission income from a diverse range of financial services it provides to its customers. Fee and commission income is recognized at an amount that reflects the consideration to which the Group expects to be entitled in exchange for providing the services. Fee income can be divided into the following two categories:

- *Fee income earned from services that are provided over a certain period of time*
Fees earned for the provision of services over a period of time are accrued over that period. Loan commitment fees in which it is unlikely that the borrower will draw down the loan, are recognized as earned on a time proportionate basis over the commitment period where there is a reasonable degree of certainty as to their collectability. Loan commitment fees for loans that are likely to be drawn are deferred (together with any incremental costs) and recognized as an adjustment to the EIR on the loan.
- *Fee income from providing transaction services*
Fees arising from negotiating or participating in the negotiation of a transaction for a third party such as fees for the arrangement of the loans are recognized on completion of the underlying transaction. Loan syndication fees are recognized in the statements of income when the syndication has been completed and the Group retains no part of the loans for itself or retains part at the same EIR as for the other participants.

Service charges, fees and commissions

Service charges, fees and commissions charged on loans-related and deposits-related transactions, except those discussed above are generally recognized when the services are

rendered.

Dividend income

Dividend income is recognized when the Group's right to receive the payment is established.

Penalty income

Penalty income on past due accounts are recognized only upon collection or accrued when there is reasonable certainty as to its collectability. Penalty income is presented under "Miscellaneous income".

Income from sale of properties

Income from sale of properties (i.e. property and equipment, investment properties and chattels) is recognized upon transfer of control of the non-financial assets to the customers and the collectability of the sales price is reasonably assured.

Income from trust operations

Trust fees related to investment funds are recognized in reference to the net asset value of the funds. The same principle is applied for wealth management, financial planning and custody services that are continuously provided over a period of time.

(c) Revenues outside the scope of PFRSs 9 and 15

Leasing income

- Finance lease
The excess of aggregate lease rentals plus the estimated residual value (gross finance lease receivables) over the cost of the leased asset (present value of the lease receivables) constitutes the unearned lease income. The unearned lease income is amortized over the term of the lease, commencing on the month the lease is executed, using the effective interest rate method. Leasing income on finance lease receivables is included in 'Interest income'.
- Operating lease
Rent income under operating lease is recognized on a straight-line basis over the lease terms on ongoing leases. These are recorded in statements of income under 'Miscellaneous income'.

Expense Recognition

Expenses are recognized when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. Operating expenses arise in the normal business operations. These expenses are recognized when incurred.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation and amortization, and any accumulated impairment in value. The initial cost of property and equipment consists of its purchase price, including import duties, taxes and any directly attributable costs of bringing the assets to their working condition and location for their intended use. Expenditures incurred after the assets have been put into operation, such as repairs and maintenance are normally charged to operations in the year in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of the assets. When assets are retired or otherwise disposed of, the cost and the related accumulated depreciation and amortization and any accumulated impairment in value are removed from the accounts and any resulting gain or loss is credited to or charged against statements of income.

Depreciation and amortization are computed using the straight-line method over the estimated useful lives (EUL) of the respective assets. EUL of property and equipment are as follows:

Building	20 years
Furniture, fixtures and equipment	3 and 5 years
Transportation equipment	5 years
Leasehold improvements	5 years or the terms of the related leases, whichever is shorter
Equipment for lease	5 years

The EUL and the depreciation and amortization method are reviewed periodically to ensure that the period and the method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

The Group's policy is to classify right-of-use assets as part of property and equipment. Refer to accounting policy for Leases below.

Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of their estimated useful life and lease term. Right-of-use assets are subject to impairment.

Investment Properties

Investment properties are measured initially at cost, including transaction costs. An investment property acquired through an exchange transaction is measured at fair value of the asset acquired unless the fair value of such asset cannot be measured, in which case the investment property acquired is measured at the carrying amount of asset given up. Foreclosed properties are classified under investment properties from foreclosure date.

Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment in value.

Investment properties are derecognized when they have either been disposed of or when the investment properties are permanently withdrawn from use and no future benefit is expected from their disposal. Any gain or loss on derecognition of an investment property is recognized in the statements of income in the year of derecognition.

Expenditures incurred after the investment properties have been put into operations, such as repairs and maintenance costs, are normally charged against income in the year in which the costs are incurred.

Depreciation is calculated on a straight-line basis using the remaining useful lives from the time of acquisition of the investment properties. Buildings are depreciated over maximum useful life of ten (10) years.

Transfers are made to investment properties when, and only when, there is a change in use as evidenced by ending of owner occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is a change in use as evidenced by commencement of owner occupation or commencement of development with a view to sale.

Other Assets - Chattels

Other assets - chattel acquired through an exchange transaction is measured at fair value of the asset acquired unless the fair value of such asset cannot be determined, in which case, it is measured at the carrying amount of the asset given up.

Subsequent to initial recognition, repossessed chattels are stated at cost less accumulated depreciation and any impairment in value. Depreciation is calculated on a straight-line basis

using the remaining useful lives from the time of acquisition of the chattels. The useful lives of repossessed chattels are estimated to be ranging from 3 to 5 years.

Investments in Subsidiaries

Investments in subsidiaries in the Parent Company's separate financial statements are accounted for under the equity method.

Under the equity method, an investment in subsidiary is carried in the statement of condition at cost plus post-acquisition changes in the Parent Company's share of the net assets of the subsidiary. Post-acquisition changes in the share of net assets of the subsidiaries include the share in the: (a) income or losses; and (b) other comprehensive income (i.e. net unrealized gains/losses in FVOCI investments, cumulative translation adjustments and remeasurement gains/losses on retirement obligations). Dividends received are treated as a reduction in the carrying amount of the investments. The statement of income reflects the share of the results of operations of the subsidiary. Where there has been a change recognized directly in the equity of the subsidiary, the Parent Company recognizes its share of any changes and thus, when applicable, discloses in the statement of changes in equity. If the Parent Company's share of losses in a subsidiary equals or exceeds its interest in the subsidiary, the Parent Company discontinues recognizing its share in further losses.

Goodwill

Goodwill is initially measured at cost being the excess of the acquisition cost over the net fair value of the acquired identifiable assets, liabilities and contingent liabilities.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. Impairment testing is done by comparing the recoverable amount of each CGU (i.e., the higher between the fair value less costs to sell and value in use) with its' carrying amount. For the purpose of impairment testing, goodwill acquired is allocated to each of the cash generating units that are expected to benefit from the synergies of the combination, irrespective of whether the acquired other assets or liabilities are assigned to those units.

Impairment is determined for goodwill by assessing the recoverable amount of the cash generating unit (or group of cash generating units) to which the goodwill relates. Where the recoverable amount of the cash generating unit (or group of cash generating units) is less than the carrying amount of the cash generating unit (or group of cash generating units) to which goodwill has been allocated, an impairment loss is recognized immediately in the statements of income. Impairment losses relating to goodwill cannot be reversed for subsequent increases in its recoverable amount in future periods.

Where goodwill forms part of a cash generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

Intangibles

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is its fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are

reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the statements of income.

Intangible assets with indefinite useful lives i.e. branch licenses are not amortized, but are tested for impairment annually or more frequently, either individually or at the cash generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statements of income when the asset is derecognized.

Software cost

Software costs are capitalized on the basis of the cost incurred to acquire and bring to use the specific software. These are being amortized using straight line basis over three and five years. Costs associated with maintaining the computer software programs are recognized as expense when incurred.

Branch licenses

Branch licenses are recognized based on the cost incurred to acquire and bring to use in operation. Branch licenses acquired through business combination, including the branch licenses granted by the BSP, are recognized at fair value at the date of acquisition. Branch licenses are determined to have indefinite useful lives as there is no foreseeable limit to the period over which they are expected to generate net cash inflows for the Group. These are tested for impairment annually.

Business Combinations

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the acquirer measures the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition costs incurred are expensed and included in operating expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition dates.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through statements of income.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration, which is deemed to be an asset or liability, will be recognized in accordance with PAS 39 either in statements of income or as a change to OCI. If the contingent consideration is classified as equity, it should not be remeasured until it is finally settled within equity.

Goodwill is initially measured at cost being the excess of the aggregate of fair value of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in the statements of income as gain on bargain purchase.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to

each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Impairment of Nonfinancial Assets

Property and equipment, investment properties, investments in subsidiaries, software costs and right-of-use assets

The Group assesses impairment on nonfinancial assets whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. An impairment loss is recognized whenever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's length transaction less cost of disposal while value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life.

Recoverable amounts are estimated for individual assets or, if it is not possible, for the cash-generating unit to which the asset belongs.

In determining the present value of estimated future cash flows expected to be generated from the continued use of the assets, the Group is required to make estimates and assumptions that can materially affect the financial statements.

Goodwill and branch licenses

Goodwill and branch licenses (arising from business combination) with no indefinite useful life are reviewed for impairment, annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of the cash generating unit (CGU) (or group of CGUs) to which the goodwill and branch licenses relates. Where the recoverable amount of the CGU (or group of CGUs) is less than the carrying amount of the CGU (or group of CGUs) to which goodwill and branch licenses have been allocated, an impairment loss is recognized immediately in the statement of income. The Group uses the higher of fair value less cost to sell and VIU using cash flow projections from financial budgets approved by senior management in determining the recoverable amount.

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as lessor

Leases, which do not transfer to the lessee substantially all the risks and benefits of ownership of the asset, are classified as operating leases. Lease income from operating leases is recognized as rental income under 'Miscellaneous income' on a straight-line basis over the lease term.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and ROU assets representing the right to use the underlying assets.

i. Right-of-use assets

The Group recognizes ROU assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). ROU assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of ROU assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The Group presents the right-of-use assets in 'Property and equipment' and subjects it to impairment in line with the Group's policy on impairment of nonfinancial assets.

ii. *Lease liabilities*

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expense (unless they are incurred to produce inventories) in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest recognized under 'Interest expense of bills payable, bonds payable, subordinated debt and other borrowings' and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

iii. *Short-term leases and leases of low-value assets*

The Group applies the short-term lease recognition exemption to its short-term leases for some branches and the related parking spaces (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of ATM offsite locations that are considered of low value (i.e. 250,000 and below). Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term as is recognized as part of 'Rent' in the statements of income.

Residual Value of Leased Assets and Deposits on Finance Leases

The residual value of leased equipment, included in 'Finance lease receivables', is the estimated proceeds from the disposal of the leased asset at the end of the lease term which approximates the amount of guaranty deposit paid by the lessee, at the inception of the lease. At the end of the lease term, the residual value is generally applied against the guaranty deposit of the lessee

Retirement Cost

Defined Benefit Plan

The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by

applying the single discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods. Remeasurements are closed to Surplus at the end of every reporting period.

Plan assets are assets that are held by a long-term employee benefit fund or qualifying insurance policies. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provision are determined by discounting the expected future cash flows at pre-tax rate that reflects current market assessments of the time value of money and where, appropriate, the risk specific to the liability. Where discounting is because of a time difference in the provision due to the passage of time is recognized as interest expense in the statements of income.

Contingent Liabilities and Contingent Assets

Contingent liabilities are not recognized in the financial statements but are disclosed unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized but are disclosed in the financial statements when an inflow of economic benefits is probable.

Income Taxes

Current taxes

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws to compute such amounts are those that are enacted or substantively enacted at the statement of condition date.

Deferred taxes

Deferred tax is provided, using the balance sheet liability method, on all temporary differences at the statement of condition date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities (DTL) are recognized for all taxable temporary differences, except:

- where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income; and
- in respect of taxable temporary differences associated with investments in subsidiaries, where

the timing of reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

DTL is not provided on non-taxable temporary differences associated with investments in subsidiaries as it is not expected to reverse in foreseeable future.

Deferred tax assets (DTA) are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carryforward of unused tax credits from MCIT and unused NOLCO can be utilized, except:

- where the DTA relating to the deductible temporary differences arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income; and
- in respect of taxable temporary differences associated with investments in subsidiaries, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable income will be available against which the temporary differences can be utilized.

The carrying amount of DTA is reviewed at each statement of condition date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the DTA to be utilized. Unrecognized DTA are reassessed at each statement of condition date and are recognized to the extent that it has become probable that future taxable income will allow the DTA to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the statement of condition date.

Deferred tax relating to items recognized directly in equity is also recognized in equity and not in the statements of income.

Deferred tax assets and liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes relate to the same taxable entity and the same taxation authority.

Equity

Capital stock is measured at par value for all shares issued and outstanding. When the shares are sold at a premium, the difference between the proceeds and the par value is credited to 'Additional Paid-in Capital' account. Direct costs incurred related to equity issuance, such as underwriting, accounting and legal fees, printing costs and taxes are charged against 'Additional Paid-in Capital' account. If the additional paid-in capital is not sufficient, the excess is charged against the 'Surplus'.

When the Parent Company issues more than one class of stock, a separate account is maintained for each class of stock and the number of shares issued.

Surplus represents accumulated earnings of the Parent Company less dividends declared.

Earnings per Share (EPS)

Basic EPS is determined by dividing the net income for the year attributable to common shares by the weighted average number of common shares outstanding during the year while diluted EPS is computed by dividing net income for the year attributable to common shares by the weighted average number of outstanding and dilutive potential common shares. Basic and diluted EPS are given retroactive adjustments for any stock dividends declared in the current year.

Segment Reporting

A business segment is a group of assets and operations engaged in providing products or

services that are subject to risks and returns that are different from those of other business segments. A geographical segment is one that provides products or services within a particular economic environment that is subject to risks and returns that are different from those segments operating in other economic environments.

The Group's operations are organized according to the nature of products and services provided. Financial information of business segments is presented in Note 6.

Events After Statement of Condition Date

Any post year-end events that provide additional information about the Group's position at the statement of condition date (adjusting events) are reflected in the financial statements. Any post year-end events that are not adjusting events are disclosed when material to the financial statements.

Fiduciary Activities

Assets and income arising from fiduciary activities together with related undertakings to return such assets to customers are excluded from the financial statements of the Group where the Parent Company acts in a fiduciary capacity such as nominee, trustee or agent.

Future Changes in Accounting Policies

Pronouncements issued but not yet effective up to the date of issuance of the Group's financial statements are listed below. Except as otherwise indicated, the Group does not expect the future adoption of these pronouncements will have a significant impact on the financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of exchangeability*

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities* and *Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

Significant Accounting Judgments and Estimates

The preparation of the financial statements in accordance with PFRSs requires the Group to make judgments and estimates that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, if any. Future events may occur which will cause the judgments and assumptions used in arriving at the estimates to change. The effects of any change in judgments and estimates are reflected in the financial statements as they become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and

other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Unless otherwise stated, below significant judgments and estimates apply as of and for the years ended December 31, 2024, 2023 and 2022.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

(a) Evaluation of business model in managing financial instruments

The Group manages its financial assets based on business models that maintain adequate liquidity level and preserve capital requirements, while maintaining a strategic portfolio of financial assets for accrual and trading activities consistent with its risk appetite.

The Group developed business models which reflect how it manages its portfolio of financial instruments. The Group's business models need not be assessed at entity level or as a whole but applied at the level of a portfolio of financial instruments (i.e., group of financial instruments that are managed together by the Group) and not on an instrument-by-instrument basis (i.e., not based on intention or specific characteristics of individual financial instrument).

In determining the classification of a financial instrument under PFRS 9, the Group evaluates in which business model a financial instrument or a portfolio of financial instruments belong to, taking into consideration the objectives of each business model established by the Group, various risks and key performance indicators being reviewed and monitored by responsible officers, as well as the manner of compensation for them. The Group also considers the frequency, value, reasons, and timing of past sales and expectation of future sales activity in this evaluation.

In addition, PFRS 9 emphasizes that if more than an infrequent and more than an insignificant sale is made out of a portfolio of investment securities carried at amortized cost, an entity should assess whether and how such sales are consistent with the objective of collecting contractual cash flows. In making this judgment, the Group considers certain circumstances documented in its business model manual to assess that an increase in the frequency or value of sales of financial instruments in a particular period is not necessarily inconsistent with a held-to-collect business model if the Group can explain the reasons for those sales and why those sales do not reflect a change in the Group's objective for the business model.

The business model assessment is based on reasonably expected scenarios without taking worst case or stress case scenarios into account. If cash flows after initial recognition, are realized in a way that is different from the Group's and the Parent Company's original expectations, the Group and the Parent Company does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets moving forward; unless a change in business model has taken place, in such case, reclassification is necessary.

(b) Testing the cash flow characteristics of financial assets

In determining the classification of financial assets under PFRS 9, the Group assesses whether the contractual terms of the financial assets give rise on specified dates to cash flows that are SPPI on the principal outstanding, with interest representing time value of money and credit risk associated with the principal amount outstanding. The assessment as to whether the cash flows meet the test is made in the currency in which the financial asset is denominated. Any other contractual term that changes the timing or amount of cash flows (unless it is a variable interest rate that represents time value of money and credit risk) does not meet the amortized cost criteria. In cases where the relationship between the passage of time and the interest rate of the financial instrument may be imperfect, known as modified time value of money, the Group assesses the modified time value of money feature to determine whether the financial instrument still meets the SPPI criterion. The objective of the assessment is to determine how different the undiscounted contractual cash flows could be

from the undiscounted cash flows that would arise if the time value of money element was not modified (the benchmark cash flows). If the resulting difference is significant, the SPPI criterion is not met. In view of this, the Group considers the effect of the modified time value of money element in each reporting period and cumulatively over the life of the financial instrument.

(c) *Functional currency*

PAS 21, *The Effects of Changes in Foreign Exchange Rates*, requires management to use its judgment to determine the entity's functional currency such that it most faithfully represents the economic effects of the underlying transactions, events and conditions that are relevant to the entity. The Parent Company determined that the RBU and FCDU's functional currency are Philippine peso and USD, respectively. In making this judgment, the Group considers the following:

- a. the currency that mainly influences sales prices for financial instruments and services (this will often be the currency in which sales prices for its financial instruments and services are denominated and settled);
- b. the currency in which funds from financing activities are generated; and
- c. the currency in which receipts from operating activities are usually retained.

Based on the economic substance of the underlying circumstances (transactions, revenue, expenses) relevant to the RBU, FCDU and subsidiaries the functional currency has been determined to be the currency that were mentioned above.

(d) *Leases*

Operating lease

Group as lessor

The Group has entered into commercial property leases of its investment properties and lease of vehicles. The Group has determined that it retains all the significant risks and rewards of ownership of these assets. Accordingly, this is accounted for as operating lease. In determining whether or not there is indication of operating lease treatment, the Group considers retention of ownership title to the leased property, period of lease contract relative to the estimated useful economic life of the leased property and the present value of minimum lease payments relative to the fair value of leased asset, among others.

Finance Lease

Group as lessor

As lessor, the Group has entered into finance lease arrangements of vehicles. The Group has determined based on the evaluation of terms and conditions of the arrangement, (i.e. present value of minimum lease payments amounts to at least substantially all of the fair value of leased asset) that it transfers all the significant risks and rewards of ownership of these properties and thus, accounts for these arrangements as finance leases.

(e) *Contingencies*

The Group is currently involved in various legal proceedings arising from the ordinary course of business. The estimate of the probable costs for the resolution of these claims and assessments has been developed in consultation with outside counsel handling the Group's defense in these matters and is based upon an analysis of potential results. The Group currently does not believe that liabilities which may arise from these proceedings will have a material adverse effect on its financial position. It is possible, however, that future results of operations could be materially affected by changes in the estimates or in the effectiveness of the strategies relating to these proceedings (see Note 31).

Estimates

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) *Estimation of credit losses on financial assets*

The measurement of impairment losses for financial assets at amortized cost, including investment securities at FVOCI, and loans and receivables under PFRS 9 requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Group's ECL calculations are outputs of models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Significant factors affecting the estimates on the ECL model include:

- The Group's internal risk rating process and assignment of PD based on this risk rating;
- The Group's criteria for assessing if there has been a significant increase in credit risk;
- The Group's definition of default, which is consistent with regulatory requirements;
- The segmentation of financial assets when the ECL is assessed on a collective basis;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and economic inputs, and the effect on PDs, EADs and LGDs.
- Definition of forward-looking macroeconomic scenario variables.

The Group's impairment policy for financial assets is discussed in Note 4. The carrying values of the investment securities at amortized costs, FVOCI and loans and receivables and related allowance for credit losses of the Group and Parent Company are disclosed in Notes 8, 9 and 16.

(b) Impairment of goodwill and branch licenses

The Group conducts a review for any impairment in value of goodwill and branch licenses annually every December 31 or frequently, if events or changes in the circumstances indicate that the carrying values may be impaired. The Group's impairment assessment requires significant judgement and is based on management's assumptions.

For purposes of impairment testing, the Group measures the recoverable amounts of the CGUs to which the goodwill and branch licenses are allocated, based on a value-in-use calculation using cash flow projections from the financial budgets covering three-to five-years, which are approved by the senior management. The value-in-use calculation is most sensitive to the following assumptions: a) revenue growth rate; b) discount rates; and c) projected growth rates used to extrapolate cash flows beyond the budget period

The discussion of key assumptions used in the impairment calculation and the carrying values of goodwill and branch licenses are disclosed in Notes 13 and 14.

(c) Recognition of deferred tax assets

Certain subsidiaries have been in a tax loss position for the past several years. Based on this experience, the management assessed that it is not probable that certain subsidiaries will realize their deductible temporary differences, unused NOLCO and excess MCIT before expiration or reversal.

The amounts of recognized and unrecognized deferred tax assets of the Group are disclosed in Note 28.

(d) Fair values of derivatives

The fair values of derivatives that are not quoted in active markets are determined using valuation techniques. Where valuation techniques are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of the area that developed them. All models are reviewed before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices.

To the extent practical, models use only observable data. Changes in assumptions about these factors could affect reported fair value of financial instruments. Refer to Note 5 for information on the fair values of these instruments.

(e) Present value of retirement obligation

The cost of defined benefit obligation and other post-employment benefits is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates and future salary increases. Due to the long-term nature of these plans and complexity of the valuation, the present values of the retirement obligation are sensitive to changes in these assumptions.

The discount rates used were determined using the market yields of Philippine government bonds with terms consistent with the expected employee benefit payout as at statement of condition date. Future salary increases are based on historical annual merit, market and promotional increase and expected future inflation rates.

The key assumptions in determining the present value of the defined benefit obligation of the Group and Parent Company are disclosed in Note 25.

A. Fair Value Measurement

The following table provides the fair value hierarchy of the Group's and of the Parent Company's assets and liabilities measured at fair value and those for which fair values are required to be disclosed:

			September 30, 2025 Consolidated (unaudited)		
			Fair Value		
			Quoted Prices in active market	Significant observable inputs	Significant unobservable inputs
	Carrying Value	Total	(Level 1)	(Level 2)	(Level 3)
Assets measured at fair value					
Financial assets					
Financial assets at FVPL:					
Held-for-trading securities					
Government securities	9,587	9,587	9,587		
Private bonds and commercial papers	-	-	-		
	9,587	9,587	9,587		
Designated at FVPL					
Quoted equity securities	-	-	-	-	-
Unquoted debt securities	-	-	-	-	-
Derivative assets	-	-	-	-	-
Currency forwards and swaps	3	3	3	-	-
	3	3	3	-	-
	9,590	9,590	9,590	-	-
AFS investments					
Government securities	105,274	105,274	105,274	-	-
Private bonds and commercial paper	328	328	328	-	-
Unquoted equity securities	-	-	-	-	-
	105,603	105,603	105,603	-	-
	115,193	115,193	115,193	-	-
Assets for which fair values are					
Financial assets					
HTM Investments					
Government Securities	1,130	1,123	1,123	-	-
Private bonds and commercial paper	-	-	-	-	-
Loans and receivables					
Corporate lending	219,761	180,500	-	-	180,500
Consumer lending	29,200	25,190	-	-	25,190
Finance lease receivables	620	620	-	-	620
Loans and receivables financed	-	-	-	-	-
Customers' liabilities under acceptance	4,068	3,733	-	-	3,733
Unquoted debt securities	-	-	-	-	-
	254,779	211,166	1,123	-	210,043
Nonfinancial assets					
Investment properties	958	1,347			1,347
	255,736	212,513	1,123	-	211,390
	370,929	327,706	116,316	-	211,390
Liabilities for which fair values are disclosed					
Financial Liabilities					
Deposit liabilities					
Time	24,978	23,873	-	-	23,873
LTNCD	-	-	-	-	-
Unsubordinated Debt Securities	-	-	-	-	-
Bonds Payable	-	-	-	-	-
Lease liabilities	1,373	1,373			1,373
Bills Payable	2,066	2,065	-	-	2,065
	28,417	27,311	-	-	27,311

December 31, 2024 Consolidated (audited)					
Fair Value					
Carrying Value	Total	Quoted Prices in (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)	
Assets measured at fair value					
Financial assets					
Financial assets at FVPL:					
Held-for-trading securities					
Government securities	4,976	4,976	4,976		
Private bonds and commercial papers	16	16	16		
	4,992	4,992	4,992	-	-
Designated at FVPL					
Unquoted equity securities	-	-	-	-	
Unquoted debt securities	-	-	-	-	-
Derivative assets					
Currency forwards and swaps	61	61		61	
	61	61	-	61	-
	5,052	5,052	4,992	61	-
AFS investments					
Government securities	73,665	73,665	73,665		
Private bonds and commercial paper	2,261	2,261	2,261		
Unquoted equity securities	-	-			-
	75,926	75,926	75,926	-	-
	80,978	80,978	80,917	61	-
Assets for which fair values are disclosed					
Financial assets					
HTM Investments					
Government Securities	1,151	1,119	1,119		
Private bonds and commercial papers					
Loans and receivables					
Corporate lending	215,046	179,764			179,764
Consumer lending	24,490	19,478			19,478
Finance lease receivables	576	437			437
Loans and receivables financed	96	72			72
Customers' liabilities under acceptance	6,307	5,806			5,806
Unquoted debt securities	-	-	-	-	-
	247,666	206,675	1,119	-	205,556
Nonfinancial assets					
Investment properties	982	1,507			1,507
	982	1,507	-	-	1,507
	248,648	208,182	1,119	-	207,063
	329,626	289,160	82,036	61	207,063
Liabilities for which fair values are disclosed					
Financial Liabilities					
Deposit liabilities					
Time	29,973	27,103			27,103
LTNCD	-	-	-	-	-
Unsubordinated Debt Securities	-	-	-	-	-
Bonds payable					
Lease Liabilities	1,390	1,156			1,156
Bills Payable	1,945	1,985			1,985
	33,308	30,243	-	-	30,243

As of September 30, 2025 and December 31, 2024, no transfers were made among the three levels in the fair value hierarchy.

The methods and assumptions used by the Group in estimating the fair value of the financial instruments are as follows:

Cash and other cash items, due from BSP and other banks, IBLR and SPURA

The carrying amounts approximate fair values considering that these accounts are short term in nature and consist mostly of overnight deposits and floating rate placements.

Debt securities classified as financial assets at FVTPL, investment securities at FVOCI and AC

Fair values are generally based on quoted market prices. When the market prices are not readily available, the Group used adjusted quoted market prices of comparable investments or applied discounted cash flow methodologies.

Equity securities measured at FVOCI

The Group's investments in equity securities include unquoted stocks. The fair value of unquoted equity securities is determined based on the adjusted asset approach and Guideline Company Method (GCM). The adjusted asset approach derives the value of the investment using the net asset of the investee adjusted to its fair value. GCM allows a value indicator of a company to be derived by applying relevant multipliers of similar, publicly traded "comparable" companies to the company's financial metrics.

Loans and receivables

Fair values of the Group's loans and receivables are estimated using the discounted cash flow methodology, using Philippine BVAL Reference Rates plus estimated credit spread. Where the instrument reprices on a quarterly basis or has a relatively short maturity, the carrying amounts approximate fair values.

Derivative instruments

Fair values are estimated based on accepted market valuation models, quoted market prices or prices provided by independent parties, if available. The most frequently applied valuation techniques include forward pricing and swap model using present value calculations.

Deposit liabilities (demand and savings deposits excluding time deposits)

Carrying amount approximates fair values considering that these are currently due and demandable.

Time deposits, Subordinated debt, Bonds payable and Lease liabilities

Fair values of liabilities are estimated using the discounted cash flow methodology using the Philippine BVAL Reference Rates with maturities consistent with those remaining for the liability being valued plus estimated credit spread.

Other financial liabilities

For accrued interest and other expenses and other liabilities, carrying amount approximates fair values due to their short-term nature.

Bills payable

Carrying amounts approximate fair values considering that these are short-term payables, except for the bills payable obtained as an incentive from PDIC in which fair value is measured at the present value of future cash flows discounted using the Philippine BVAL Reference Rates with maturities consistent with those remaining for the liability being valued plus estimated credit spread.

Investment properties

The fair value of the investment properties has been determined based on valuations made by accredited external and/or in-house appraisers on the basis of recent sales transactions of similar properties in the same areas as the investment properties and taking into account the economic conditions prevailing at the time the valuations were made. They make use of a market data approach which involves correlation and analysis of comparable lots, either recently sold or offered for sale in the market, upon which the market value of subject property is estimated.

The significant unobservable inputs used in the valuation of the Group's investment properties are as follows:

Significant Unobservable Inputs

Price per square meter	The unit price assigned to the property
Size	Size of lot in terms of area. Evaluate if the lot size of property or comparable conforms to the average cut of the lots in the area and estimate the impact of lot size differences on land value.
Location	Location of comparative properties whether on a main road, or secondary road. Road width could also be a consideration if data is available. As a rule, properties located along a main road are superior to properties located along a secondary road.
Shape	Particular form or configuration of the lot. A highly irregular shape limits the usable area whereas an ideal lot configuration maximizes the usable area of the lot which is associated in designing an improvement which conforms to the highest and best use of the property.
Corner influence	Bounded by two (2) roads

Operating Segments

The Group's main operating businesses are organized and managed primarily, according to the current organizational structure. Each segment represents a strategic business unit that caters to the Group's identified markets. The Group's business segments are:

- a) Commercial Banking-this segment provides lending, trade and cash management services to corporate and institutional customers, which include large corporate, middle market clients and entrepreneurs;

- b) Consumer Banking – this segment offers consumer banking services to retail customers. Consumer lending products include real estate loans, salary loans, auto loans and pension loans;
- c) Treasury-this segment is responsible for the execution of the Group's strategic treasury objective set forth in the Group's Treasury Operating Plan, which outlines the Group's strategies in terms of proprietary trading, liquidity, risk, capital, tax management, among others. Treasury segment's functions include managing the Group's reserve and liquidity position and maintaining its balance sheet by investing in sovereign and corporate debt instruments, commercial paper and other securities in the Philippines and other emerging markets. The Treasury segment is also responsible for managing the Group's foreign currency exposure, engaging in proprietary trading of currencies and offering foreign exchange instruments to the Group's corporate customers, as well as the Group's investment portfolio, which is managed with a view to maximizing efficiency and return on capita;
- d) Branch Banking – this segment offers retail deposit products, including current accounts (interest bearing and non-interest bearing demand deposits), savings accounts and time deposits in pesos and U.S. dollars. Branch banking segment also provides lending to corporate and institutional customers through its own lending centers situated in selected branches; and
- e) Others – this segment includes the Group's income from trust activities, remittances and gains on foreclosure.

The President, being the Group's Chief Operating Decision Maker (CODM), monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment assets are those operating assets employed by a segment in its operating activities and are either directly attributable to the segment or can be allocated to the segment on a reasonable basis. Segment liabilities are those operating liabilities that result from the operating activities of a segment and are either directly attributable to the segment or can be allocated to the segment on a reasonable basis. Interest income is reported net, as management primarily relies on the net interest income as performance measure, not the gross income and expense.

The Group's revenue-producing assets are located in the Philippines (i.e., one geographical location); therefore, geographical segment information is no longer presented. The Group has no significant customers which contribute 10.00% or more of the consolidated revenue, net of interest expense.

The segment results include internal transfer pricing adjustments across business units as deemed appropriate by management. Transactions between segments are conducted at estimated market rates on an arm's length basis. Interest is charged / credited to the business units based on a pool rate which approximates the marginal cost of funds.

Segment information of the Group as at and for the three months ended September 30, 2025 and September 30, 2024 follow:

	Nine Months Ended September 30, 2025					
	(Unaudited) in millions					
	COMMERCIAL	CONSUMER	TREASURY	BRANCHES	OTHERS	TOTAL
Statement of Income						
Net interest income	2,592	1,246	752	8,798	119	13,506
Other income	336	756	1,823	350	416	3,680
Total operating income	2,928	2,002	2,575	9,147	534	17,187
Other operating expense	884	801	273	3,407	173	5,538
Provision for credit and impairment losses	(43)	150	-	92	-	199
Provisions for income taxes	322	219	1,061	466	14	2,082
Net income for the year	1,765	832	1,241	5,183	347	9,368
Statement of Financial Position						
Total Assets	248,725	8,461	152,695	3,990	3,273	417,145
Total Liabilities	860	9,721	268	334,947	5,642	351,438
Other Segment Information						
Depreciation and Amortization	35	56	3	427	111	632

	Nine Months Ended September 30, 2024					
	(Unaudited) in millions					
	COMMERCIAL	CONSUMER	TREASURY	BRANCHES	OTHERS	TOTAL
Statement of Income						
Net interest income	2,228	1,429	(116)	8,790	122	12,452
Other income	964	612	889	364	301	3,131
Total operating income	3,192	2,041	773	9,154	423	15,583
Other operating expense	748	713	355	3,062	152	5,030
Provision for credit and impairment losses	14	51	0	18	-	83
Provisions for income taxes	252	161	1,109	361	11	1,894
Net income for the year	2,177	1,116	(691)	5,713	260	8,575
Statement of Financial Position						
Total Assets	172,318	26,898	146,050	3,739	3,006	352,011
Total Liabilities	1,205	8,586	212	280,422	4,952	295,377
Other Segment Information						
Depreciation and Amortization	13	50	3	402	114	581

Equity

With the approval of the SEC on May 6, 2013, a total of 88,000,000 offer shares consisting of 80,000,000 firm shares and 8,000,000 optional shares pursuant to the over-allotment option were issued and offered by the Parent Company, with P10.00 par value per share through an initial public offering at P95.00 per share from May 7 to 14, 2013. The Parent Company's shares were listed and commenced trading at the PSE on May 17, 2013.

The net proceeds from the IPO amounted to P7.46 billion, net of direct costs related to equity issuance of P0.48 billion.

On June 5, 2025, the BOD of the Parent Company approved the 100% stock dividend amounting to 727,965,795 shares to stockholders of record as of July 25, 2025 distributable on August 15, 2025. This was approved by the stockholders during the bank's annual stockholder meeting last June 27, 2025.

Retained Earnings

On July 25, 2025, the BOD of the Parent Company approved the declarations of cash dividends amounting to Php 2 per share. First tranche was Php 1.00 per share, paid to stockholders of record date Aug 15, 2025 last August 22, 2025. The remaining Php 1.00 per share was paid at the second tranche last September 30, 2025 to shareholders of record date September 22, 2025.

On June 5, 2025, the BOD of the Parent Company approved the 100% stock dividend

amounting to 727,965,795 shares to stockholders of record as of July 25, 2025 distributable on August 15, 2025. This was approved by the stockholders during the bank's annual stockholder meeting last June 27, 2025.

On November 24, 2023, the BOD of the Parent Company approved the declarations of cash dividends amounting to 242.66 million (or 0.33 per share) to stockholders of record as of December 19, 2023 payable on December 22, 2023.

On May 26, 2023, the BOD of the Parent Company approved the 50% stock dividend amounting to 242,655,257 shares to stockholders of record as of December 18, 2023 distributable on December 22, 2023. Moreover, the BOD of the Parent Company approved the declarations of cash dividends amounting to 485.31 million (or 1.00 per share) and 485.31 million (or 1.00 per share) to stockholders of record as of June 9, 2023 and September 12, 2023, payable on July 6, 2023 and September 28, 2023, respectively.

Capital Management

The primary objective of the Group's capital management is to ensure that the Parent Company complies with externally imposed capital requirements and that the Group maintains strong credit ratings and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Group manages its capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of its activities and assessments of prospective business requirements or directions. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities. No changes were made in the objectives, policies and processes from the previous years.

Regulatory Qualifying Capital

Under existing BSP regulations, the determination of the Parent Company's compliance with regulatory requirements and ratios is based on the amount of the Parent Company's unimpaired capital (regulatory net worth) reported to the BSP, determined on the basis of regulatory accounting policies, which differ from PFRS in some respects.

Effective January 1, 2014, the Group complied with BSP issued Circular No. 781, Basel III Implementing Guidelines on Minimum Capital Requirements, which provides the implementing guidelines on the revised risk-based capital adequacy framework particularly on the minimum capital and disclosure requirements for universal banks and commercial banks, as well as their subsidiary banks and quasi-banks, in accordance with the Basel III standards. The Circular sets out a minimum Common Equity Tier 1 (CET1) ratio of 6.00% and Tier 1 capital ratio of 7.50% and also introduced a capital conservation buffer of 2.50% comprised of CET1 capital. The existing requirement for Total Capital Adequacy Ratio (CAR) remains unchanged at 10.00% and these ratios shall be maintained at all time.

On June 27, 2014, the BSP issued Circular No. 839, REST Limit for Real Estate Exposures which provides the implementing guidelines on the prudential REST limit for universal, commercial, and thrift banks on their aggregate real estate exposures. The Group should maintain CET1 and CAR levels at the regulatory prescribed minimums, on a solo and consolidated basis, even after the simulated results of a 25.00% write-off to the Group's real estate exposures. These shall be complied with at all times.

Capital Adequacy Ratio

The capital adequacy ratio (CAR) of the Group as at September 30, 2025, December 31, 2024, and September 30, 2024 based on Basel III are shown in the table below (amounts in millions):

in millions	September 30, 2025	December 31, 2024	September 30, 2024
Tier 1 Capital	59,490	51,926	50,843
Tier 2 Capital	2,392	2,293	2,050
Total Qualifying Capital	61,882	54,219	52,892
Total Risk Weighted Assets	317,265	304,946	259,405
Capital Ratios			
Total CAR	19.50%	17.78%	20.39%
Tier 1 Ratio	18.75%	17.03%	19.60%

Qualifying capital and risk-weighted assets (RWA) are computed based on BSP regulations. Under Basel III, the regulatory qualifying capital of the Parent Company consists of CET1 capital, which comprises paid-up common stock, surplus including current year profit, surplus reserves, other comprehensive income (net unrealized gains or losses on FVOCI securities and cumulative foreign currency translation) and non-controlling interest less required deductions such as unsecured credit accommodations to directors, officers, stockholders and related interests (DOSRI), deferred income tax, other intangible assets, defined benefit pension fund assets and goodwill. The other component of qualifying capital is Tier 2 (supplementary) capital, which includes subordinated debt and general loan loss provision.

Risk-weighted assets are determined by assigning defined risk weights to the balance sheet exposure and to the credit equivalent amounts of off-balance sheet exposures. Certain items are deducted from risk-weighted assets, such as the excess of general loan loss provision over the amount permitted to be included in Tier 2 capital. The risk weights vary from 0.00% to 150.00% depending on the type of exposure, with the risk weights of off-balance sheet exposures being subjected further to credit conversion factors.

The risk-weighted CAR is calculated by dividing the sum of its Tier 1 and Tier 2 capital by its riskweighted assets, as defined under BSP regulations. The determination of compliance with regulatory requirements and ratios is based on the amount of the Group's and Parent Company's 'unimpaired capital' (regulatory net worth) as reported to the BSP, which is determined on the basis of regulatory accounting practices which differ from PFRS Accounting Standards in some respects.

As at December 31, 2024 and 2023, the Group and the Parent Company were in compliance with the minimum CAR, as reported to the BSP.

With the issuance of BSP Circular No. 639 covering the Internal Capital Adequacy Assessment Process (ICAAP) in 2009, which supplements the BSP's risk-based capital adequacy framework under Circular No. 538, the Group has adopted and developed its ICAAP framework to ensure that appropriate level and quality of capital are maintained by the Group on an ongoing basis. The level and structure of capital are assessed and determined in light of the Group's business environment, plans, performance, risks and budget, as well as regulatory edicts.

Commitments and Contingent Liabilities

In the normal course of the Group's operations, there are various outstanding contingent liabilities and bank guarantees which are not reflected in the accompanying financial

statements. The Group does not anticipate material unreserved losses as a result of these transactions.

The Group has several loan-related suits, pending cases and claims arising from the Group's normal course of business. The effects of these, if any, are not reflected in the financial statements. As of September 30, 2025 and December 31, 2024, management assessed that estimates of potential financial impact of these contingencies are not yet determinable. Further, in the opinion of management and in consultation with its legal counsel, the suits and claims, if decided adversely, will not involve sums having a material effect on the financial statements.

The following is a summary of the Parent Company's commitments and contingent liabilities at their equivalent peso contractual amounts:

In Php Thousands	September 30, 2025	December 31, 2024
Trust department accounts	65,916,048	68,295,298
Unused commercial letters of credit	2,461,797	1,832,233
Standby letters of credit	4,647,549	9,331,950
Spot Exchange Bought	5,216,210	4,415,584
Forward Exchange Sold	2,518,732	6,011,804
Outstanding guarantees issued	1,229,661	1,319,086
Inward bills for collection	863,842	57,858
Late deposits/payment received	-	-
Spot Exchange Sold	6,891,326	292,519
Outward bills for collection	12,831	42,500
Forward Exchange Bought	192,640	229,155
Others	740	731

Others include items held for safekeeping and items held as collateral.

Earnings per Share

Earnings per share amounts were computed as follows:

	September 30, 2025 (unaudited)	December 31, 2024 (audited)	September 30, 2024 (unaudited)
a. Net income attributable to equity holders of the Parent Company	9,343,158,224	11,337,929,038	8,564,423,309
b. Net income attributable to minority interest	24,805,128	16,316,494	10,907,578
c. Total weighted average number of outstanding common*	1,455,931,590	727,965,795	727,965,795
d. Basic EPS (*Annualized Net Income/average no. of outstanding common shares)	8.56	15.57	15.69

Material Contingencies

In the normal course of business, the Group makes various commitments and incurs certain contingent liabilities that are not presented in the financial statements including several suits and claims which remain unsettled. No specific disclosures on such unsettled assets and claims are made because any such specific disclosures would prejudice the Group's position with the other parties with whom it is in dispute. Such exemption from disclosures is allowed under PAS 37, *Provisions, Contingent Liabilities and Contingent Assets*. The Group and its legal counsel believe that any losses arising from these contingencies which are not specifically provided for will not have a material adverse effect on the financial statements.

Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Parent Company's related parties include:

- key management personnel, close family members of key management personnel and entities which are controlled, significantly influenced by or for which significant voting power is held by key management personnel or their close family members,
- subsidiaries, joint ventures and associates and their respective subsidiaries, and
- Post-employment benefit plans for the benefit of the Parent Company's employees.

The Parent Company has several business relationships with related parties. Transactions with such parties are made in the ordinary course of business and on substantially the same terms, including interest and collateral, as those prevailing at the time for comparable transactions with other parties. These transactions also did not involve more than the normal risk of collectability or present other unfavorable conditions.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Financial Condition and Results of Operations

The tables in Exhibit A and B present the Group's consolidated Statements of Condition as of September 30, 2025 (Unaudited), December 31, 2024 (Audited) and September 30, 2024 (Unaudited) and, Statements of Income for the Nine-Month periods ended September 30, 2025 and September 30, 2024 and three-month periods ended September 30, 2025 and September 30, 2024 and the changes thereto as of and for the periods then ended.

Analysis of Changes in Financial Condition as of September 30, 2025 (Unaudited) vs. December 31, 2024 (Audited) – Exhibit A

The Group's total assets increased to P417.1 billion as of September 30, 2025 from P386.0 billion as of December 31, 2024.

Cash and other cash items decreased by 25% from P4.6 billion as of December 31, 2024 to P3.4 billion as of September 30, 2025 attributed to Bank's daily operations.

Due from Bangko Sentral ng Pilipinas (BSP) decreased by 34% from P36.7 billion as of December 31, 2024 to P24.1 billion as of September 30, 2025 primarily due to BSP reserve requirement reduction.

Due from other banks decreased by 27% from P5.9 billion as of December 31, 2024 to P4.3 billion as of September 30, 2025 to fund other interest earning assets.

Interbank loans receivable and securities purchased under resale agreements increased by 5% from P3.7 billion as of December 31, 2024 to P3.8 billion as of September 30, 2025 due to higher volume of lending with other banks and increase in short term placements for the bank's funding requirements.

Financial Assets at Fair Value through Profit or Loss increased by 90% from P5.1 billion as of December 31, 2024 to P9.6 billion as of September 30, 2025 on account of Group's trading strategy.

Investment Securities at Fair Value Through Other Comprehensive Income increased by 39% from P76.0 billion as of December 31, 2024 to P105.7 billion as of September 30, 2025 on account of the group's effort to optimize funds into higher-yielding assets.

Loans and Receivables increased by 5% from P245.2 billion as of December 31, 2024 to P256.9 billion as of September 30, 2025 as the bank sustained its loan portfolio growth especially its corporate lending arm from the development of new markets and active participation in various financing deals.

Other assets increased 58% from P363.8 million as of December 31, 2024 to P573.5 million as of September 30, 2025 due to increases from prepaid expenses, on-hand stationery and supplies, and various other assets.

Total liabilities increased 7% from P327.7 billion as of December 31, 2024 to P351.4 billion as of September 30, 2025.

Total deposits increased by 7% from P313.2 billion as of December 31, 2024 to P336.2 billion as of September 30, 2025 mostly coming from increase in demand deposits.

Bills payable increased 6% from P1.9 billion as of December 31, 2024 to P2.1 billion as of September 30, 2025 due to volume growth.

Manager's Checks increased by 110% from P791.4 million as of December 31, 2024 to P1.7 billion as of September 30, 2025. Such transaction is highly dependent on client needs.

Accrued Taxes, Interest and Other Expenses decreased 12% from P1.8 billion as of December 31, 2024 to P1.6 billion as of September 30, 2025 mostly from decreases in accrued interest payable and accrued other expenses payable.

Total Equity increased by 13% from P58.3 billion as of December 31, 2024 to P65.7 billion as of September 30, 2025.

Other comprehensive Income as Net Unrealized Loss improved to negative P1.0 billion as of September 30, 2025 from negative P2.0 billion as of December 31, 2024 driven by bond market conditions both globally and locally.

Last June 27, 2025, stockholders approved 100% stock dividend. This was paid last August 15, 2025 to stockholders as of record date July 25, 2025.

Analysis of Changes in Financial Condition as of September 30, 2025 (Unaudited) vs. September 30, 2024 (Unaudited) – Exhibit A

The Group's total assets increased to P417.1 billion as of September 30, 2025 from P352.0 billion as of September 30, 2024.

Cash and other cash items increased by 7% from P3.2 billion as of September 30, 2024 to P3.4 billion as of September 30, 2025 attributed to Bank's daily operations.

Due from BSP decreased by 9% from P26.6 billion as of September 30, 2024 to P24.1 billion as of September 30, 2025 attributed to the reduction in the regulatory level of required reserves and reallocation into interest earning assets.

Interbank loans receivable and securities purchased under resale agreements increased by 8% from P4.4 billion as of September 30, 2024 to P3.8 billion as of September 30, 2025 attributed to an elevated demand for short-term liquidity in the interbank market.

Financial assets at fair value through profit and loss increased by 36% from P7.1 billion as of September 30, 2024 to P9.6 billion as of September 30, 2025 on account of Group's trading strategy.

Investments Securities at Fair Value Through Other Comprehensive Income increased by 7% from P98.8 billion as of September 30, 2024 to P105.7 billion as of September 30, 2025 due to the group's effort to place funds and invest in higher yielding assets..

Loans and receivables increased by 29% to P256.9 billion as of September 30, 2025 from P198.9 billion a year ago. Loan volumes increased, mainly from corporates, as the group took advantage of the opportunities from the development of new markets and as it actively participated in various financing deals.

Property and equipment increased 8% from P2.1 billion as of September 30, 2024 to P2.2 billion as of September 30, 2025 due to increased purchase of furniture, fixtures and equipment, Leasehold right and improvements, and right of use assets.

Deferred tax assets increased by 24% from P402.1 million as September 30, 2024 to P500.1 million as of September 30, 2025 due to tax timing differences related to ECL provision.

Other assets increased by 22% from P471.0 million as September 30, 2024 to P573.5 million as of September 30, 2025 mostly from higher prepaid expenses, and various miscellaneous assets.

Total liabilities increased by 19% from P295.4 billion as of September 30, 2024 to P351.4 billion as of September 30, 2025.

In particular, total deposits increased by 19% from P282.0 billion as of September 30, 2024 to P336.2 billion as of September 30, 2025 mainly from increase in savings and demand deposits. This growth supported the increase in the bank's loan portfolio.

Bills payable increased by 28% from P1.6 billion as of September 30, 2024 to P2.1 billion as of September 30, 2025 due to higher volume.

Manager's checks increased 41% from P1.6 billion as of September 30, 2024 to P2.1 billion as of September 30, 2025 due to higher client requirements.

Income Tax Payable increased 19% from P255.2 million as of September 30, 2024 to P304.8 million as of September 30, 2025 due to higher taxable income.

Accrued Taxes, Interest and Other payables decreased 7% from P1.7 billion as of September 30, 2024 to P1.6 billion as of September 30, 2025 mostly from lower accrued interest payable and other expenses payable.

Other liabilities increased by 11% from P8.6 billion as of September 30, 2024 to P9.6 billion as of September 30, 2025 mostly from increased accounts payable.

Total Equity increased by 16% from P56.6 billion as of September 30, 2024 to P65.7 billion as of September 30, 2025.

Last June 27, 2025, stockholders approved 100% stock dividend. This was paid last August 15, 2025 to stockholders as of record date July 25, 2025.

Surplus reserves increased 26% from P1.2 billion as of September 30, 2024 to P1.6 billion as of September 30, 2025 due to the appropriation of general loan loss provisions.

The bank's surplus, excluding surplus reserves, increased by 4% from P42.1 billion as of September 30, 2024 to P43.7 billion as of September 30, 2025 mostly coming from retained earnings.

Net Unrealized loss on FVOCI increased from P884.7 million as of September 30, 2024 to P1 billion as of September 2025 on account of risk aversion brought about by moderate inflation outlook and slower expectation on global and local rate movement.

Analysis of Results of Operations for the Nine-Month period Ended September 30, 2025 (Unaudited) vs. September 30, 2024 (Unaudited) – Exhibit B

Interest Income

Gross interest income increased 14% to P18.0 billion for the period ended September 30, 2025 from P15.8 billion same period a year ago.

In particular, interest income from Loans and receivables increased by 26% to P13.9 billion for period ended September 30, 2025 from P11.0 billion for period ended September 30, 2024 due to loan portfolio growth.

Interest income from Trading and investment securities decreased by 12% from P4.3 billion for the period ended September 30, 2024 to P3.8 billion for the period ended September 30, 2025 due to lower yields partially offset by higher volume.

Interest income from Interbank loans receivable and securities purchased under resale agreements increased by 23% from P108.3 million for period ended September 30, 2024 to P133.1 million for period ended September 30, 2025 attributable to deployment of funds into shorter dated assets.

Interest income from Deposits with banks and others decreased by 37% from P349.5 million for period ended September 30, 2024 to P221.8 million for period ended September 30, 2025 due to the impact of lower policy rates.

Interest Expense

Total interest expense increased 35% to P3.4 billion for the period ended September 30, 2025 from P4.5 billion same period a year ago.

Interest expense from deposit liabilities increased by 35% from P3.2 billion for the period ended September 30, 2024 to P4.4 billion for the period ended September 30, 2025, due to higher deposit volume.

Interest expense on Bills Payable and other borrowings increased by 32% from P119.9 million as of September 30, 2024 to P158.2 million as of September 30, 2025 due to higher volume.

Net Interest Income

Net interest income increased by 8% from P12.5 billion for the period ended September 30, 2024 to P13.5 billion in the same period this year. This translated to a net interest margin ratio of 5.0% as of the the 3rd quarter of 2025 vs 5.3% same period a year ago.

Other Operating Income

AUB's other operating income increased by 18% from P3.1 billion for the period ended September 30, 2024 to P3.7 billion for the period ended September 30, 2025.

In particular, Trading and securities gain increased 21% from P1.1 billion for the period ended September 30, 2024 to P1.4 billion for the period ended September 30, 2025 attributable to proper execution of the Group's trading strategy and sale of investments on unquoted equity securities.

Service charges, fees and commissions increased 18% from P1.1 billion as of September 30, 2024 to P1.3 billion as of September 30, 2025 coming from AUB's operating activities such as remittance, credit cards, AUB PayMate, Hello money, and various branch transactions.

Foreign exchange gains increased 7% from P486.1 million for the period ended September 30, 2024 to P521.3 million for the period ended September 30, 2025 mainly due to fluctuations in currency market.

Trust income increased 23% from P117.0 million for period ended September 30, 2024 to P143.8 million for period ended September 30, 2025 due to higher trust volume.

Miscellaneous income increased 18% from P282.0 million for period ended September 30, 2024 to P333.8 million for period ended September 30, 2025 from higher recovery gains, and other miscellaneous income.

Total Operating Expenses

The group's total operating expenses including provision for losses increased by 12% from P5.1 billion for period ended September 30, 2024 to P5.7 billion for period ended September 30, 2025. This increase mainly came from higher provision for losses, compensation, capital expenditures and other business volume-related taxes and expenses.

Provision for losses increased by 141%, from P82.7 million for period ended September 30, 2024 to P199.2 million for period ended September 30, 2025 set aside mostly due to increased loan volume.

Despite increase in total operational expenses, the bank managed to improve its operating efficiency, as measured by its cost-to-income which was flattish at 32.2% from the previous year's 32.3%.

Provision for (Benefit from) Income Tax

AUB recorded a provision for income tax of P2.1 billion for the period ended September 30, 2025, 10% higher from income tax provision recorded for the period ended September 30, 2024.

Net Income

To summarize, the group saw its consolidated net income increase by 9% to P9.4 billion in the 3rd quarter of the year, from P8.6 billion a year ago. This translated to a return on equity (ROE) of 20.4% and a return on assets (ROA) of 3.2%, versus year-ago ratios of 22.4% and 3.3%, respectively. The profitability was attributed to a 29% expansion in its loan portfolio and across the board improvements in its other operating activities.

Analysis of Results of Operations for the Three-month period Ended September 30, 2025 (Unaudited) vs. September 30, 2024 (Unaudited) – Exhibit B

Interest Income

Gross interest income increased 19% to P6.3 billion for the quarter ended September 30, 2025 from P5.3 billion same quarter a year ago.

In particular, interest income from Loans and receivables increased by 24% to P4.8 billion for quarter ended September 30, 2025 from P3.8 billion for quarter ended September 30, 2024 due to loan portfolio growth.

Interest income from Trading and investment securities increased by 6% from P1.35 billion for the quarter ended September 30, 2024 to P1.44 billion for the quarter ended September 30, 2025 due to higher volume.

Interest income from Interbank loans receivable and securities purchased under resale agreements increased by 37% from P30.1 million for quarter ended September 30, 2024 to P41.3 million for quarter ended September 30, 2025 attributable to deployment of funds into shorter dated assets.

Interest income from Deposits with banks and others decreased by 32% from P92.4 million for quarter ended September 30, 2024 to P62.7 million for quarter ended September 30, 2025 due to the impact of lower policy rates.

Interest Expense

Total interest expense increased 49% to P1.6 billion for the quarter ended September 30, 2025 from P1.1 billion same quarter a year ago.

Interest expense from deposit liabilities increased by 50% from P1.0 billion for the quarter ended September 30, 2024 to P1.5 billion for the quarter ended September 30, 2025, due to higher deposit volume.

Interest expense on Bills Payable and other borrowings increased by 34% from P40.9 million as of September 30, 2024 to P54.9 million as of September 30, 2025 due to increase in volume.

Net Interest Income

Net interest income increased by 11% from P4.2 billion for the quarter ended September 30, 2024 to P4.7 billion in the same quarter this year.

Other Operating Income

AUB's other operating income decreased by 9% from P1.4 billion for the quarter ended September 30, 2024 to P1.3 billion for the quarter ended September 30, 2025.

Service charges, fees and commissions increased 3% from P370.1 million as of September 30, 2024 to P380.8 million as of September 30, 2025 coming from AUB's operating activities such as remittance, credit cards, AUB PayMate, hello money, and various branch transactions.

Foreign exchange gains decreased 61% from P219.4 million for the quarter ended September 30, 2024 to P86.5 million for the quarter ended September 30, 2025 mainly due to fluctuations in currency market.

Trust income increased 4% from P45.4 million for quarter ended September 30, 2024 to P47.2 million for quarter ended September 30, 2025 due to higher trust volume.

Miscellaneous income decreased 19% from P97.6 million for quarter ended September 30, 2024 to P79.3 million for quarter ended September 30, 2025 from lower foreclosure profits, recovery gains and other miscellaneous income.

Total Operating Expenses

The group's total operating expenses including provision for losses increased by 14% from P1.7 billion for quarter ended September 30, 2024 to P2.0 billion for quarter ended September 30, 2025. This increase mainly came from higher provision for losses, compensation, capital expenditures and other business volume-related taxes and expenses.

The bank increased provision for losses by P12.2 million from P4.8 million for quarter ended September 30, 2024 to P17.0 million for quarter ended September 30, 2025. This is mostly due to higher loan volume.

Provision for (Benefit from) Income Tax

AUB recorded a provision for income tax of P810.9 million for the quarter ended September 30, 2025 which was 34% higher than the provision of P604.1 million recorded for the quarter ended September 30, 2024. This increase was due to the higher tax paid income for the quarter ended September 30, 2025 versus a year ago.

Net Income

To summarize, the group saw its consolidated net income decreased by 3% to P3.2 billion in the third quarter of the year, from P3.3 billion same quarter year ago. This was attributed to lower other operating income and increase in both operational expenses and income tax provision.

Key Performance Indicators

The table below presents the Group's key performance indicators for the periods indicated.

	September 30, 2025 (unaudited)	September 30, 2024 (unaudited)
Return on Assets	3.2%	3.3%
Return on Equity	20.4%	22.4%
Net Interest Margin	5.0%	5.3%
Cost-to-Income Ratio	32.2%	32.3%
Asset growth vs. year ago	18.5%	2.3%

Notes:

- (1) Return on average net income divided by average total assets for the periods indicated. Average total assets are based on balances at the beginning and end of the period divided by two.
- (2) Net income divided by average total equity for the periods indicated. Average total equity is based on balances at the beginning and end of the period divided by two.
- (3) Net interest income divided by average interest-earning assets (excluding the Demand Deposit Account). Interest-earning assets includes due from BSP, due from other banks, interbank loans, receivables and securities purchased under resale agreement ("SPURA"), trading and investment securities, loans and receivables. Average interest-earning assets are equivalent to the total interest-earning assets at the beginning and end of the period divided by two.
- (4) Total operating expenses less provision for credit and impairment losses and divided by total operating income for the periods indicated.
- (5) Total assets at end of current period less total assets at end of previous period balance divided by balance at end of previous period.

Key Variables and Other Qualitative and Quantitative Factors

Liquidity

As indicated in Note 4 of the Audited Financial Statements, it is the Group's primary objective to ensure payment of maturing financial obligations and commitments as these fall due and be able to fund contingency requirements as well when these arise. To limit this risk, management has arranged diversified funding sources in addition to its core deposit base, manages assets with liquidity in mind, and monitors future cash flows and liquidity on a daily basis. This incorporates an assessment of expected cash flows and the availability of high grade collateral which could be used to secure additional funding if required.

The ALCO shall continue to ensure that at all times, the Group maintains adequate liquidity, has sufficient capital and appropriate funding. The balance between cost and liquidity as well as any issues among business lines are resolved by the ALCO.

The Treasury Group uses liquidity forecast models that estimate the Parent Company's cash flow needs based on the observed behavior of the deposits under normal circumstances and extraordinary circumstances. The plans and strategies in the liquidity risk management are contained on the Board approved Treasury Operational and Contingency Funding Plan. The RMG prepares a Maximum Cumulative Outflow (MCO) report, which quantifies the Parent Company's liquidity mismatch risk on a monthly basis.

Events that will Trigger Direct or Contingent Financial Obligation

AUB does not expect any event that will trigger a direct or contingent financial obligation, including any default or acceleration of an obligation, that will have a material effect on the Group's financial statements,

Material Off-Balance Sheet Transactions, Arrangements and Obligations

Please refer to Note G of the Group's Interim Financial Statements.

Material Commitment for Capital Expenditures

In 2025, AUB shall fund its commitments for capital expenditures related to branch expansion, Information Technology infrastructure, and other purposes from cash flows out of operations.

Known Trends, Events or Uncertainties

AUB is not aware of any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations should be described.

Significant Elements of Income or Loss

Significant elements of the Group's net income for the Nine-Month period ended September 30, 2025 and September 30, 2024 came from its continuing operations.

Causes for Any Material Changes from Period to Period of Financial Statements

The causes for any material changes from period to period of interim financial statements have been provided in the Interim Analysis of Changes in Financial Condition and Analysis of Results of Operations of this report.

Seasonal Aspects

In terms of seasonality, AUB's results have historically been stronger during the annual year-end holiday season and the school enrollment season in the Philippines, which are in the fourth and second quarter of the calendar year, respectively.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, Classification of Liabilities as Current or Non-current
The amendments clarify:
 - That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
 - That classification is unaffected by the likelihood that an entity will exercise its deferral right.

- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendments to PFRS 16, Lease Liability in a Sale and Leaseback
The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.
- Amendments to PAS 7 and PFRS 7, Disclosures: Supplier Finance Arrangements
The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

PART II - OTHER INFORMATION

Item 1. Financial Highlights and Indicators

For the first half of the year, the total number of branches of the parent bank remained at 226. Moreover, one branch was opened by its subsidiary bank.

For details, please refer to the table below.

	September 30, 2025	December 31, 2024	September 30, 2024
Branches*			
Parent Bank	225	226	226
Subsidiary Banks	41	40	38
Total Group	266	266	264
Branches by location			
MM	122	123	122
Provincial	144	143	142
Total Group	266	266	264
% in MM	45.86	46.24	46.21
ATMs (Parent only)			
Onsite	166	167	169
Offsite	43	41	41
Total	209	208	210
Headcount			
Parent Bank	2036	2,017	1,981
Subsidiary Banks	410	408	403
Total Group	2,446	2,425	2,384
Headcount per branch			
Parent Bank	9.05	8.92	8.77
Total Group	9.20	9.12	9.03

Item 2. Financial Highlights and Indicators

The table below presents the Group's financial highlights and indicators for the periods indicated.

	September 30, 2025 (unaudited)	December 31, 2024 (audited)	September 30, 2024 (unaudited)
Liquidity (%)			
Liquid to Total Assets Ratio	36.2%	34.2%	41.3%
Loans (net) to Deposits Ratio	76.4%	78.3%	70.5%
Solvency (%)			
Debt-to-Equity Ratio	514.9%	561.6%	500.8%
Asset-to-Equity Ratio	634.9%	661.6%	621.6%
Interest Rate Coverage Ratio	352.9%	403.6%	411.5%
Profitability (%)			
Return on Assets	3.2%	3.1%	3.3%
Return on Equity	20.4%	21.2%	22.4%
Net Interest Margin	5.0%	5.0%	5.3%
Cost-to-Income Ratio	32.2%	32.3%	32.3%
Asset Quality (%)			
Non-performing Loans Ratio ²	0.36%	0.30%	0.53%
Non-performing Loans Coverage Ratio	117.14%	122.00%	120.67%
Capital Adequacy (%)			
Total regulatory capital expressed as percentage of total risk-weighted assets	19.50%	17.78%	20.39%
Total CET 1 expressed as percentage of total risk-weighted assets	18.75%	17.03%	19.60%
Total Tier 1 expressed as percentage of total risk-weighted assets	18.75%	17.03%	19.60%

Note:

(1) Total Non-performing Loans net of Specific Allowance divided by Total Gross Loans.

Item 3. Aging of Loans and Other Receivables

**PSE Requirement per Circular No. 2164-99
As of September 30, 2025 (in thousands Php)**

Up to 12 months	119,422,428	45.7%
Over 1 year to 3 years	28,099,203	10.8%
Over 3 years to 5 years	51,259,652	19.6%
Over 5 years	62,368,933	23.9%
Loans Receivables (gross)	261,150,216	100.0%
Less:		
Allowance for credit losses	4,236,250	
Loans Receivables (Net)	256,913,966	

Item 4. Use of IPO Proceeds

Background

AUB's shares were listed and commenced trading at the Philippine Stock Exchange (PSE) on May 17, 2013. The bank initially planned to use the IPO to further solidify the Bank's capital adequacy and financial strength and more importantly, allow AUB to pursue its strategic growth initiatives. During the meeting of the Board of Directors of AUB held on June 27, 2014, the Board approved revisions to the original utilization plan of the IPO. Upon approval, the bank informed its shareholders, SEC, and PSE of the approved revisions.

The table below shows that based on the revised use, AUB has fully utilized the IPO proceeds as of September 30, 2014.

<i>In Philippine pesos</i>	Original Use of IPO Proceeds	Revised Use of IPO Proceeds	Cumulative as of September 30, 2014
Branch Expansion	890,000,000	360,000,000	360,000,000
General Corporate Purposes	5,077,484,420	6,956,124,439	6,956,124,439
Information Technology Infrastructure	578,640,019	120,000,000	120,000,000
Payment of Branch Licenses	890,000.00	0.00	0.00
TOTAL	7,436,124,439	7,436,124,439	7,436,124,439

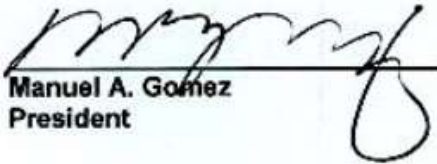
Item 5. Board Resolutions

All material information and transactions of AUB had been made under SEC 17-C.

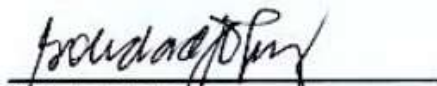
Pursuant to the requirement of Securities Regulation Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: ASIA UNITED BANK

By:



Manuel A. Gomez
President



Soledad O. Reyes
Senior Vice President / Chief Financial Officer
Head of Financial Controllers Group

November 14, 2025

ASIA UNITED BANK CORPORATION
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Exhibit No.	Description	Page No.
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B	Comparative Statements of Income	65

ASIA UNITED BANK CORPORATION
EXHIBIT A - COMPARATIVE STATEMENT OF CONDITION (1 of 3)
As of September 30, 2025 (in Thousands Php)

	September 30, 2025	December 31, 2024	September 30, 2024	September 30, 2025 vs. December 31, 2024		September 30, 2025 vs September 30, 2024	
ASSETS	(Unaudited)	(Audited)	(Unaudited)	(+/-)	%	(+/-)	%
Cash and Other Cash Items	3,419,680	4,584,834	3,188,876	(1,165,155)	-25.4%	230,803	7.2%
Due from Bangko Sentral ng Pilipinas	24,095,525	36,703,924	26,586,082	(12,608,400)	-34.4%	(2,490,557)	-9.4%
Due from Other Banks	4,291,267	5,888,307	4,423,725	(1,597,040)	-27.1%	(132,458)	-3.0%
Interbank Loans Receivable and Securities Purchased Under Resale Agreements	3,841,890	3,651,283	4,156,097	190,607	5.2%	(314,207)	-7.6%
Financial Assets at Fair Value Through Profit or Loss	9,590,303	5,052,259	7,060,478	4,538,044	89.8%	2,529,824	35.8%
Investment Securities at Fair Value Through Other Comprehensive Income	105,695,813	75,980,123	98,787,381	29,715,690	39.1%	6,908,432	7.0%
Investment Securities at Amortized Cost	1,130,482	1,151,023	1,138,081	(20,540)	-1.8%	(7,598)	-0.7%
Loans and Receivables	256,913,966	245,152,913	198,885,488	11,761,053	4.8%	58,028,477	29.2%
Property and Equipment	2,248,299	2,188,777	2,085,874	59,522	2.7%	162,424	7.8%
Investment Properties	957,583	981,913	957,462	(24,330)	-2.5%	121	0.0%
Deferred Tax Assets	500,094	489,119	402,078	10,975	2.2%	98,016	24.4%
Goodwill	1,949,737	1,949,737	1,949,737	-	0.0%	-	0.0%
Intangible Assets	1,936,703	1,910,575	1,919,062	26,128	1.4%	17,640	0.9%
Other Assets	573,530	363,788	470,955	209,742	57.7%	102,575	21.8%
				-		-	
TOTAL ASSETS	417,144,871	386,048,575	352,011,377	31,096,296	8.1%	65,133,494	18.5%

ASIA UNITED BANK CORPORATION
EXHIBIT A - COMPARATIVE STATEMENT OF CONDITION (2 of 3)
As of September 30, 2025 (in thousands Php)

	September 30, 2025	December 31, 2024	September 30, 2024	September 30, 2025 vs. December 31, 2024		September 30, 2025 vs September 30, 2024	
LIABILITIES AND EQUITY	(Unaudited)	(Audited)	(Unaudited)	(+/-)	%	(+/-)	%
Liabilities							
Deposit Liabilities							
Demand	210,699,782	166,613,253	160,228,916	44,086,529	26.5%	50,470,865	31.5%
Savings	100,558,457	116,651,406	96,784,655	(16,092,948)	-13.8%	3,773,802	3.9%
Time	24,977,775	29,973,397	24,985,752	(4,995,622)	-16.7%	(7,977)	0.0%
	336,236,014	313,238,055	281,999,323	22,997,958	7.3%	54,236,690	19.2%
Bills Payable	2,066,224	1,945,067	1,609,081	121,158	6.2%	457,143	28.4%
Manager's Checks	1,663,696	791,447	1,179,559	872,248	110.2%	484,137	41.0%
Income Tax Payable	304,819	316,330	255,239	(11,511)	-3.6%	49,580	19.4%
Accrued Taxes, Interest and Other Expenses	1,604,916	1,821,086	1,725,366	(216,170)	-11.9%	(120,451)	-7.0%
Other Liabilities	9,562,092	9,590,239	8,608,440	(28,147)	-0.3%	953,651	11.1%
Total Liabilities	351,437,760	327,702,224	295,377,008	23,735,536	7.2%	56,060,752	19.0%

ASIA UNITED BANK CORPORATION
EXHIBIT A - COMPARATIVE STATEMENT OF CONDITION (3 of 3)
As of September 30, 2025 (in thousands Php)

	September 30, 2025	December 31, 2024	September 30, 2024	September 30, 2025 vs. December 31, 2024		September 30, 2025 vs September 30, 2024	
	(Unaudited)	(Audited)	(Unaudited)	(+/-)	%	(+/-)	%
Equity							
Equity Attributable to Equity Holders of the Parent Company							
Capital stock	14,559,316	7,279,658	7,279,658	7,279,658	100.0%	7,279,658	100.0%
APIC	6,622,819	6,622,819	6,622,819	-	0.0%	-	0.0%
Surplus reserves	1,552,520	1,494,114	1,227,837	58,406	3.9%	324,682	26.4%
Surplus	43,735,218	44,641,987	42,148,173	(906,768)	-2.0%	1,587,046	3.8%
Net unrealized gain (loss) on investment securities at fair value through other comprehensive income	(1,024,294)	(1,988,460)	(884,698)	964,166	-48.5%	(139,596)	15.8%
Cumulative translation adjustment	128,038	96,732	46,722	31,306	32.4%	81,316	174.0%
	65,573,617	58,146,850	56,440,511	7,426,767	12.8%	9,133,106	16.2%
NCI	133,494	199,501	193,858	(66,007)	-33.1%	(60,364)	-31.1%
Total Equity	65,707,111	58,346,352	56,634,369	7,360,760	12.6%	9,072,742	16.0%
				-			
TOTAL LIABILITIES AND EQUITY	417,144,871	386,048,575	352,011,377	31,096,296	8.1%	65,133,494	18.5%

ASIA UNITED BANK CORPORATION
EXHIBIT B - COMPARATIVE STATEMENTS OF INCOME (1 of 2)
As of September 30, 2024 (in thousands Php)

	For the period ended		Quarter Ended		For the period ended		Quarter Ended	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024	September 30, 2025 vs September 30, 2024		September 30, 2025 vs September 30, 2024	
INTEREST INCOME	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(+/-)	%	(+/-)	%
Loans and receivables	13,889,474	11,029,991	4,755,906	3,821,189	2,859,483	25.9%	934,717	24.5%
Trading and investment securities	3,789,119	4,325,588	1,436,254	1,352,008	(536,469)	-12.4%	84,246	6.2%
Interbank loans receivable and securities purchased under resale agreements	133,056	108,348	41,283	30,102	24,708	22.8%	11,181	37.1%
Deposit with banks and others	221,806	349,511	63,085	92,400	(127,704)	-36.5%	(29,315)	-31.7%
	18,033,456	15,813,438	6,296,528	5,295,699	2,220,018	14.0%	1,000,829	18.9%
INTEREST EXPENSE								
Deposit liabilities	4,369,105	3,241,364	1,529,156	1,018,963	1,127,741	34.8%	510,193	50.1%
Bills payable and other borrowings	158,240	119,934	54,897	40,930	38,306	31.9%	13,967	34.1%
	4,527,346	3,361,299	1,584,053	1,059,894	1,166,047	34.7%	524,160	49.5%
NET INTEREST INCOME	13,506,110	12,452,139	4,712,475	4,235,805	1,053,971	8.5%	476,669	11.3%
Trading and securities gain - net	1,374,096	1,139,376	696,462	692,039	234,720	20.6%	4,423	0.6%
Service charges, fees and commissions	1,307,525	1,106,112	380,841	370,083	201,413	18.2%	10,759	2.9%
Foreign exchange gain (loss) - net	521,253	486,141	86,455	219,400	35,113	7.2%	(132,945)	-60.6%
Trust income	143,782	117,022	47,175	45,382	26,759	22.9%	1,793	4.0%
Miscellaneous	333,794	282,008	79,272	97,650	51,785	18.4%	(18,378)	-18.8%
OTHER OPERATING INCOME	3,680,450	3,130,659	1,290,206	1,424,554	549,791	17.6%	(134,347)	-9.4%
TOTAL OPERATING INCOME	17,186,560	15,582,799	6,002,681	5,660,359	1,603,761	10.3%	342,322	6.0%

ASIA UNITED BANK CORPORATION
EXHIBIT B - COMPARATIVE STATEMENTS OF INCOME (2 of 2)
As of September 30, 2025 (in thousands Php)

	For the period ended		Quarter Ended		For the period ended		Quarter Ended	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024	September 30, 2025 vs September 30, 2024		September 30, 2025 vs September 30, 2024	
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	(+/-)	%	(+/-)	%
Compensation and fringe benefits	1,715,077	1,626,038	582,361	547,600	89,039	5.5%	34,761	6.3%
Provision for credit and impairment losses	199,250	82,749	16,984	4,759	116,500	140.8%	12,225	256.9%
Depreciation and amortization	631,859	580,986	219,250	197,996	50,872	8.8%	21,255	10.7%
Taxes and licenses	1,123,914	967,751	402,713	320,854	156,163	16.1%	81,858	25.5%
Rent	59,022	66,886	18,610	26,892	(7,863)	-11.8%	(8,282)	-30.8%
Insurance	549,163	483,973	188,690	161,458	65,191	13.5%	27,232	16.9%
Security, messengerial and janitorial	144,746	129,714	50,117	43,834	15,033	11.6%	6,283	14.3%
Freight expenses	71,157	69,674	18,991	24,261	1,483	2.1%	(5,270)	-21.7%
Transportation and travel	102,441	90,254	35,965	31,258	12,186	13.5%	4,708	15.1%
Power, light and water	59,827	56,672	20,899	19,754	3,155	5.6%	1,145	5.8%
Postage, telephone, cables and telegrams	127,699	139,002	42,231	46,791	(11,303)	-8.1%	(4,560)	-9.7%
Management and other professional fees	38,526	31,268	11,138	8,953	7,258	23.2%	2,186	24.4%
Repairs and maintenance	207,085	171,506	72,980	62,963	35,580	20.7%	10,017	15.9%
Amortization of intangibles	29,826	35,314	10,586	10,409	(5,488)	-15.5%	177	1.7%
Miscellaneous	677,217	581,344	260,333	202,797	95,874	16.5%	57,535	28.4%
TOTAL OPERATING EXPENSES	5,736,809	5,113,131	1,951,849	1,710,577	623,679	12.2%	241,272	14.1%
INCOME BEFORE SHARE IN NET INCOME OF SUBSIDIARIES	11,449,751	10,469,668	4,050,832	3,949,782				
Share in Net Income of Subsidiaries								
INCOME BEFORE INCOME TAX	11,449,751	10,469,668	4,050,832	3,949,782	980,083	9.4%	101,051	2.6%
PROVISION FOR (BENEFIT FROM) INCOME TAX	2,081,787	1,894,337	810,943	604,115	187,450	9.9%	206,828	34.2%
NET INCOME	9,367,963	8,575,331	3,239,889	3,345,667	792,632	9.2%	(105,778)	-3.2%